



2013–2014 PRICING PROPOSAL
ERGON ENERGY CORPORATION LIMITED

DISTRIBUTION SERVICES FOR 1 JULY 2013 TO 30 JUNE 2014

DATE: 30 APRIL 2013

VERSION 1.0 – FOR AER APPROVAL



REVISION HISTORY

Version	Date	Summary of Changes
1.0	30 April 2013	Initial proposal to the AER for 2013–14.

GLOSSARY

ABS	Australian Bureau of Statistics
ACS	Alternative Control Services
AD	Authorised Demand
AER	Australian Energy Regulator
ARR	Annual Revenue Requirement
ATMD	Any Time Maximum Demand
CAC	Connection Asset Customer
CAM	Cost Allocation Method
Capex	Capital Expenditure
CPI	Consumer Price Index
DCOS	Distribution Cost of Supply
DNSP	Distribution Network Service Provider
DUOS	Distribution Use of System
EG	Embedded Generator
ENCAP Review	Queensland Electricity Network Capital Program Review 2011
Ergon Energy	Ergon Energy Corporation Limited
GWh	Gigawatt Hour
ICC	Individually Calculated Customer
kV	Kilovolt
kVA	Kilovolt-ampere
kW	Kilowatt
kWh	Kilowatt Hour
Law	National Electricity Law
LGA	Local Government Area
LOB	Line of Business
LRMC	Long Run Marginal Cost
MAR	Maximum Allowable Revenue
MWh	Megawatt Hour
NMI	National Metering Identifier
Opex	Operating Expenditure
PTRM	Post Tax Revenue Model
QCA	Queensland Competition Authority
ROA	Return on Assets
Rules	National Electricity Rules

SAC	Standard Asset Customer
STPIS	Service Target Performance Incentive Scheme
SWER	Single Wire Earth Return
TNSP	Transmission Network Service Provider
Tribunal	Australian Competition Tribunal
TUOS	Transmission Use of System
WACC	Weighted Average Cost of Capital

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1 Introduction

1.1 Background

Ergon Energy Corporation Limited (Ergon Energy) is a Distribution Network Service Provider (DNSP) that provides distribution services to over 700,000 customers in regional Queensland. Our service area covers around 97 per cent of Queensland and has approximately 150,000 kilometres of power lines and one million power poles. Around 70 per cent of the network's power lines are considered rural, with a very low customer density and largely radial profile.

1.2 Purpose and Structure

Clause 6.18.2(a)(2) of the National Electricity Rules (the Rules) requires Ergon Energy to submit a Pricing Proposal to the Australian Energy Regulator (AER) at least two months before the commencement of the regulatory year.

This Pricing Proposal sets out how Ergon Energy's proposed tariffs and prices in 2013–14 meet the requirements of the Rules for our Standard and Alternative Control Services.

Standard Control Services are core network, connection and metering services associated with the access and supply of electricity to customers. Ergon Energy recovers our costs in providing Standard Control Services through network tariffs which are billed to retailers.

Alternative Control Services are comprised of:

- *Fee Based Services* – regulated distribution activities which Ergon Energy undertakes at the request of an identifiable customer, retailer or appropriate third party which are in addition to our main network, connection and metering services and are levied as a separate charge. Fee Based Services have a 'fixed fee' as the costs of providing the service (and therefore price) can be assessed in advance of the service being requested by a customer or retailer (e.g. de-energisations, re-energisations, and supply abolishment etc.);
- *Quoted Services* – similar to Fee Based Services, but they are 'priced on application' as the nature and scope of these services is variable and the costs (and therefore price) are specific to the individual retailer's or customer's needs (e.g. Large Customer Connections, and emergency recoverable works etc.);¹ and
- *ACS – Street Lighting Services* – relate to the installation, operation and maintenance of street lighting assets owned by Ergon Energy. Ergon Energy recovers our costs in providing ACS – Street Lighting Services through a daily street lighting charge which we bill to retailers.

The Tariff Schedules for our Standard and Alternative Control Services are set out in Appendix 1 and Appendix 4, respectively.

¹ The prices set out in this Pricing Proposal are examples of potential prices for Quoted Services.

This Pricing Proposal is structured as follows:

- Part 1 provides an overview of Ergon Energy's pricing arrangements and approach to setting network prices for both Standard Control Services and Alternative Control Services. This section aims to assist customers and other interested parties in understanding how network tariffs are developed and applied; and
- Part 2 details how this Pricing Proposal satisfies the requirements of the Rules and the AER's Final Distribution Determination.

1.3 Use of Terms

Unless otherwise specified, a reference to network tariffs refers to tariffs and tariff classes for Standard Control Services.

Where a section of this document applies to both customers and embedded generators the term "network user" is used. Where the term "customer" is used in a section of this document, that section applies to customers only (i.e. it does not apply to embedded generators).

Where the term "TUOS" is used in a section of this document, it includes all designated pricing proposal charges incurred for Transmission Use of System (TUOS) services as defined in the Rules.

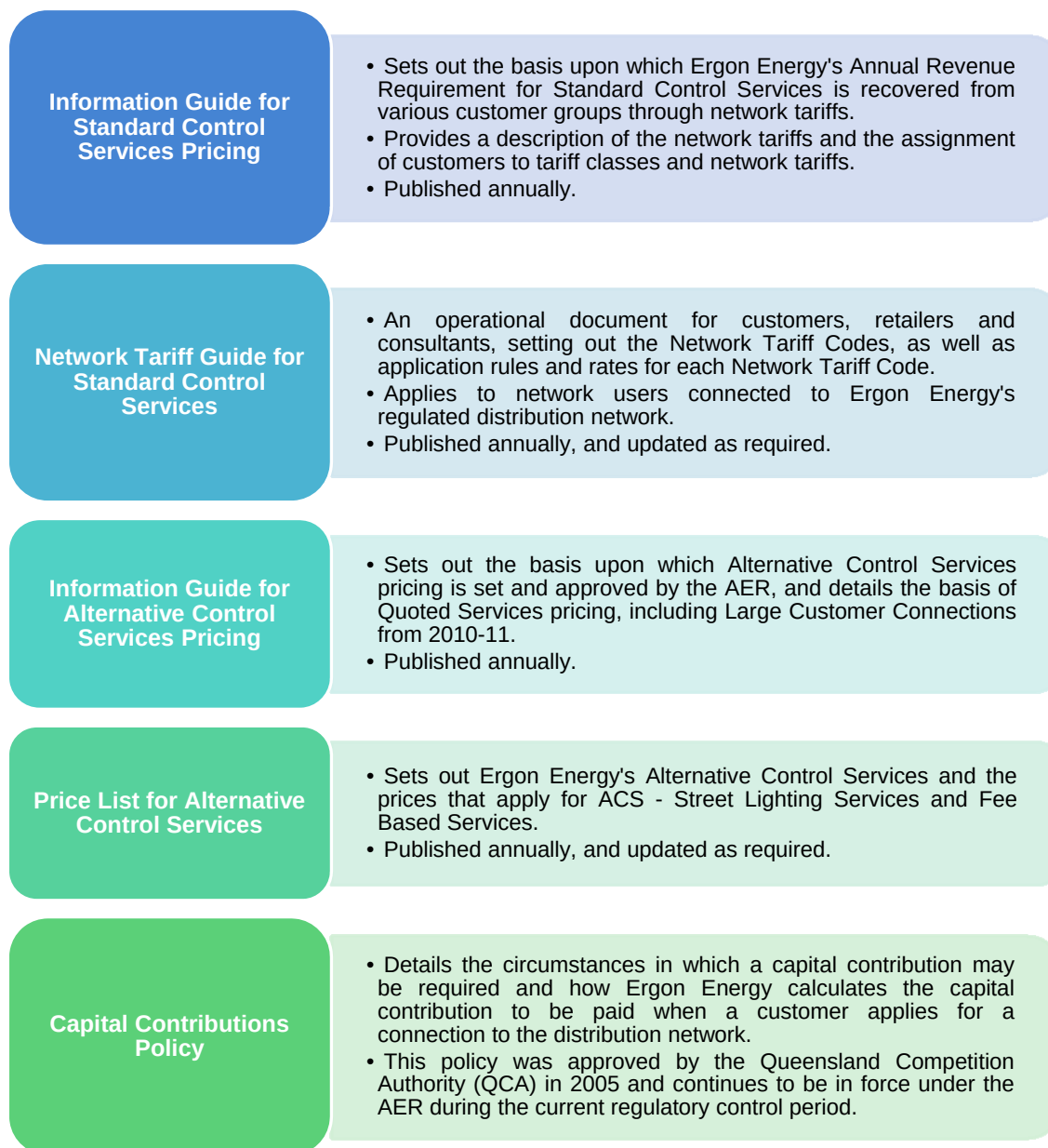
1.4 Supporting Network Pricing Documents

In addition to this Pricing Proposal, Ergon Energy has a number of network pricing documents to assist customers, retailers and interested parties in understanding the development and application of tariffs and connection charges. The documents outlined in Figure 1.1 below provide further information about network tariffs, including tariff assignment, tariff codes, loss factors and detailed information about operational issues relating to Standard and Alternative Control Services.²

The "Network Tariff Guide for Standard Control Services" and the "Price List for Alternative Control Services" will also set out the tariffs and prices for 2013–14, once approved.

² These documents will be available on the Ergon Energy website at: www.ergon.com.au/networktariffs.

Figure 1.1: Supporting Network Pricing Documentation



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Part 1 – Approach to Price Setting

2 Matters Impacting Ergon Energy's Revenue and Network Prices for 2010–15

2.1 Regulatory Framework

As a DNSP, Ergon Energy is subject to economic regulation by the AER under the National Electricity Law (the Law) and the Rules. Under the Law and Rules, the AER is responsible for regulating the revenues Ergon Energy can earn, and the prices that Ergon Energy can charge for certain services provided by means of, or in connection with, our distribution system.

2.1.1 Final Distribution Determination for the 2010–11 to 2014–15 period

The key process for regulating revenues and prices is through the AER's Distribution Determination, which occurs every five years. On 6 May 2010, the AER made its Final Distribution Determination under this process, which effectively sets the revenue and pricing control regime that Ergon Energy must comply with over the current regulatory control period (i.e. 2010–15).

2.1.2 Review of the Final Distribution Determination

On 19 May 2011, the Australian Competition Tribunal (Tribunal) varied aspects of Ergon Energy's revenues allowed for in the AER's Final Distribution Determination made on 6 May 2010. The Tribunal also varied the AER's Final Distribution Determination to allow Ergon Energy to charge customers other one-off costs we incur in the delivery of Quoted Services.

Further information on the revised revenues and formulas used by Ergon Energy in the calculation of prices for Standard Control Services and Alternative Control Services as a result of the Tribunal outcomes is set out in our 2011–12 Pricing Proposal, which was approved by the AER on 9 June 2011.³

2.2 Queensland Government

2.2.1 Queensland Electricity Network Capital Program Review

On 11 February 2012, Ergon Energy received a direction notice from the Queensland Government under section 115 of the *Government Owned Corporations Act 1993* to not recover a portion of our AER-approved revenue allowances for Standard Control Services for the remainder of the regulatory control period (i.e. 2012–13 to 2014–15). This revenue adjustment relates to capital expenditure (capex) savings identified through the 2011 Electricity Network Capital Program Review (ENCAP Review)⁴ findings and recommendations endorsed by the Queensland Government.

Ergon Energy has also been directed that the foregone revenue associated with the ENCAP Review should not be recovered from customers in future years. This means Ergon Energy will not set our network tariffs to recover our full revenue allowances for the remaining years of

³ Available at <http://www.aer.gov.au/node/6446>.

⁴ Available at <http://www.business.qld.gov.au/industry/energy/electricity-industry/electricity-queensland/review-electricity-distributors>.

the regulatory control period, nor will we seek to recover the foregone revenues associated with the ENCAP Review via the annual unders and overs process.

To give effect to this direction, Ergon Energy will make an adjustment to the smoothed revenues to be collected from DUOS charges after performing the MAR and unders and overs calculations in each regulatory year. The AER approved this approach in our 2012–13 Pricing Proposal.⁵

Further information on this adjustment is contained in Section 6.5.2 of this Pricing Proposal.

2.2.2 Queensland Electricity Sector Reform

The Queensland Government is carrying out a number of reviews of Queensland's electricity sector to address rising electricity costs. In particular, the Queensland Government established an Inter-Departmental Committee (IDC) on electricity sector reform in May 2012 to review all aspects of the sector that impact on electricity costs. The objectives of the IDC are to ensure:

1. *"Electricity in Queensland is delivered in a cost-effective manner for consumers;*
2. *Queensland has a viable, sustainable and competitive electricity industry; and*
3. *Electricity is delivered in a financially sustainable manner from the Queensland Government's perspective."*⁶

At the time of submitting this Pricing Proposal, the outcomes of the Queensland Electricity Sector Reform are not known. Depending on the outcomes of these reviews, it may be necessary for Ergon Energy to amend the prices included in this Pricing Proposal. Further information on adjustments to tariffs within a regulatory year is detailed in Section 8.2.

2.3 Future Tariff Development

Ergon Energy is currently reviewing our Network Tariff Strategy in light of:

- Rising electricity prices;
- The increasing visibility of Ergon Energy's network tariffs in the regulated retail electricity prices (or Notified Prices);⁷ and
- Changes in our operating environment (e.g. advances in technology such as metering, data management and communication).

The purpose of the strategy is to document a strategic pathway that considers and, where necessary, delivers reforms to network pricing in the short, medium and long term, taking into account customer concerns as well as economic, social, technical and logistical considerations. It aims to identify and implement the most appropriate structures and sustainable network tariff solutions for our customers.

⁵ Available at <http://www.aer.gov.au/node/15612>.

⁶ Department of Energy and Water Supply (2012), *IDC on Electricity Sector Reform – Terms of Reference*, <http://www.dews.qld.gov.au/policies/electricity-sector-reform>, Accessed on 15 April 2013.

⁷ The Queensland Minister for Energy and Water Supply has delegated the QCA with the task of determining the Notified Prices for 2013–14 to 2015–16. In its Draft Determination, the QCA proposed to use Ergon Energy's network tariffs and charges as the basis for determining regulated retail electricity prices for large business customers, very large customers and street lights.

The strategy will focus on providing customers with cost signals that align with Ergon Energy's network cost characteristics and drivers. This will help achieve our strategic goal of limiting network charge increases to less than the Consumer Price Index (CPI) over the longer term (post 2020).

The Network Tariff Strategy review is currently in its early stages. To date, Ergon Energy has sought independent advice on possible future tariff structures and conducted further analysis of these possible structures, taking into account learning from the Reward Based Tariff trials and the Demand Based trials from Solar Cities. Our public consultation process will seek stakeholder feedback on possible tariff structures (e.g. kVA, demand-based and time-of-use network tariffs together with less reliance on variable kWh charges) and transitional pathways.

Ergon Energy will review stakeholder feedback. Following this, Ergon Energy will further evaluate the tariff options available and progress a suitable implementation strategy. We will continue to work with our stakeholders throughout the process to ensure that customers, retailers and interested parties are aware of the development of new tariffs and are cognisant of changes likely to affect them.

It is important to note that outcomes from the Network Tariff Strategy review are not expected to impact network tariff structures until 2014–15, with any change expected to be implemented in progressive stages. Further information on future network tariff structures will be provided in our 2014–15 Pricing Proposal.



3 Establishing 2013–14 Tariffs for Standard Control Services

3.1 Overview

Ergon Energy's Standard Control Services are regulated under a revenue cap form of price control. The revenue cap for any given year reflects Ergon Energy's Maximum Allowable Revenue (MAR) plus any under/over adjustment required to clear the Distribution Use of System (DUOS) unders and overs account for the most recently completed regulatory year (i.e. for 2013–14 prices, the under/over recoveries relating to 2011–12). A further adjustment has also been made in 2013–14 to give effect to the Queensland Government's direction to not recover a portion of our AER-approved revenue allowances as a result of the ENCAP Review.

The resulting Annual Revenue Requirement (ARR) outlined in Section 3.2 below is then recovered from various customer groups through network tariffs in accordance with our network tariff development process. This process is consistent with previous years and is summarised in Section 3.3. Designated pricing proposal charges (or TUOS), as identified in Section 3.4, are then allocated to customers.

3.2 Revenue Recovery in 2013–14

In 2013–14 the total network (transmission and distribution) revenue that Ergon Energy will need to recover from network users is approximately \$1,932 million. This is an increase of 14.73 per cent above what we expect to recover from network users in 2012–13.

The amount to be recovered includes Ergon Energy's ARR of approximately \$1,593 million. This reflects adjustments made to Ergon Energy's 2013–14 Allowed Revenue (AR) for:

- The difference between forecast and actual inflation;
- The Service Target Performance Incentive Scheme (STPIS);
- The difference between forecast and actual capital contributions;
- Transitional factors, such as unders and overs adjustments for shared assets;
- Pass throughs for the Solar Bonus Scheme;
- Unders and overs associated with the DUOS unders and overs account; and
- The ENCAP Review.

A detailed discussion on the calculation of the ARR is contained in Section 6.5 of this Pricing Proposal.

Ergon Energy also recovers revenues on behalf of Powerlink and other designated pricing proposal charges (approximately \$340 million) as outlined in Section 3.4.

3.3 Development of Network Tariffs for Standard Control Services

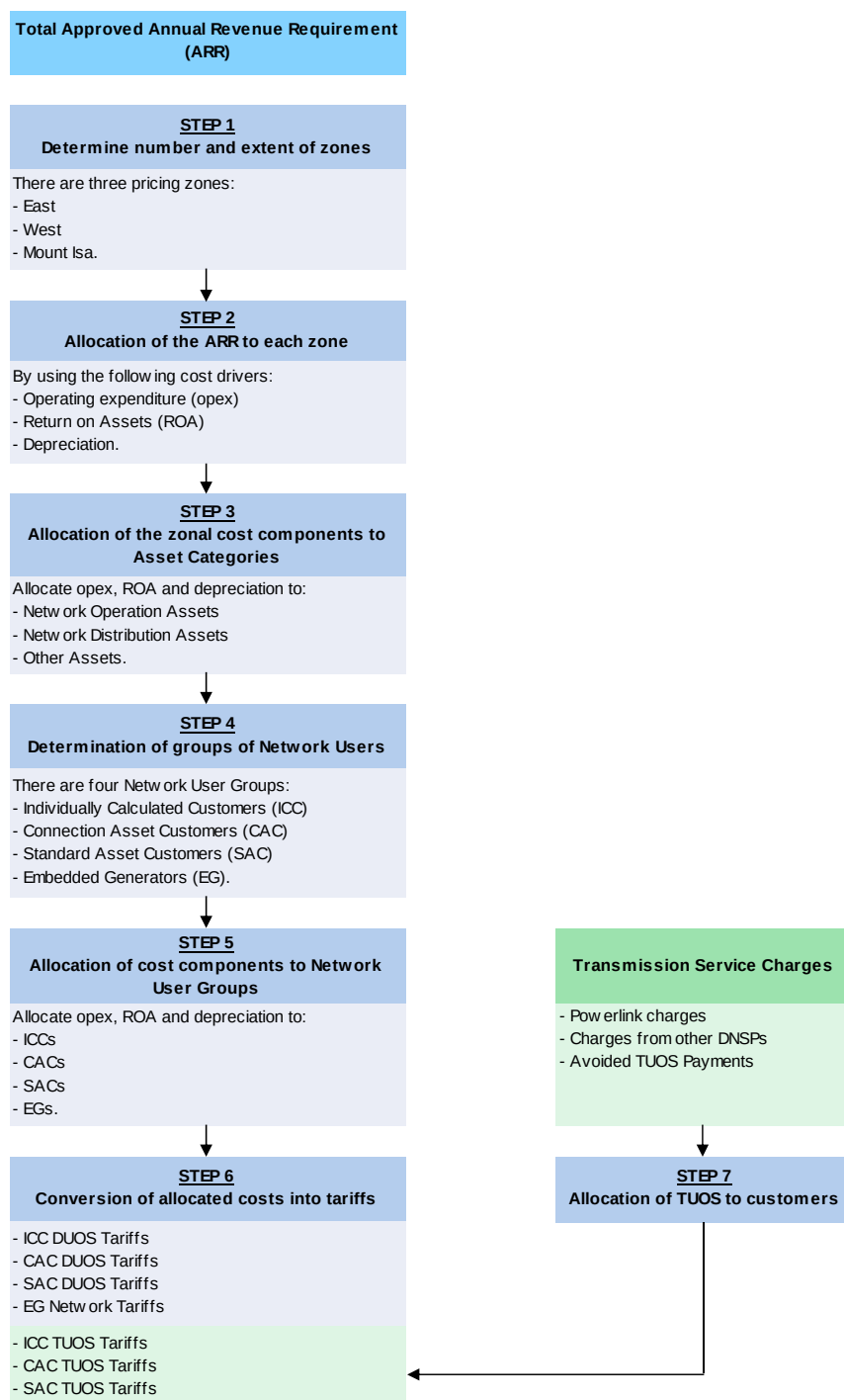
The process for allocating and converting the ARR to network tariffs for the various customer groups is set out in Figure 3.1 below and is described in more detail in Appendix 8. Essentially, the ARR is allocated to the three pricing zones and the zonal costs are apportioned to different asset categories within each zone. The costs within the zones are



then assigned to the four network user groups and converted into network tariffs that recover the costs. As noted above, TUOS is then allocated to customers.

The following sections provide more information on the pricing zones and the network user groups, as well as the Large Customer Connection arrangements which may apply to certain network users. Section 3.3.4 also summarises the network tariffs, and charging parameters, that will apply in 2013–14.

Figure 3.1: Network Tariff Development



3.3.1 Network User Groups

Ergon Energy currently has four network user groups (with multiple tariff classes within these groups). These are:

- Individually Calculated Customers (ICCs);
- Connection Asset Customers (CACs);
- Standard Asset Customers (SACs);⁸ and
- Embedded Generators (EGs).⁹

A description of the four network user groups is provided in Table 3.1 below.

The purpose of these network user groups is to enable network tariffs to be developed that provide individual or direct cost of supply signals to those network users where possible, while recognising that it is not possible to price every network user individually.

Table 3.1: Ergon Energy's Network User Groups

Network User Group	Description
ICC	Those customers: • With energy consumption typically greater than 40 GWh per annum (p.a.); or • With energy consumption lower than 40 GWh p.a. where: - o A customer has a dedicated supply system which is quite different and separate from the remainder of the supply network; - o There are only two or three customers in a supply system making average prices inappropriate; - o A customer is connected at or close to a Transmission Connection Point; or - o Inequitable treatment of otherwise comparable customers will arise from the application of the 40 GWh p.a. threshold.
CAC	Those customers: • With required capacity above 1,500kVA; • With energy consumption typically greater than 4 GWh p.a.; or • With required capacity below 1,500kVA where: - o A customer has a dedicated supply system which is quite different and separate from the remainder of the supply network; or - o Inequitable treatment of otherwise comparable customers will arise from the application of the 4 GWh p.a. threshold. The CAC group is further subdivided into categories based on voltage levels as follows: • 66kV – connected to either a 66kV substation or a 66kV line; • 33kV – connected to either a 33kV substation or a 33kV line; • 22/11kV Bus – connected to either a 22kV or 11kV substation; and • 22/11kV Line – connected to either a 22kV or 11kV line.
SAC	All other load customers. This includes customers with micro generation facilities (such as small scale photovoltaic (PV) generators) that have a similar service connection and usage profile as other SACs without such facilities. Customers taking supply at LV with a generator installed with a capacity less than or equal to 1MW, will generally be classified as a SAC unless the connection assets are considered to be quite different from that supplying other SACs.

⁸ Unmetered loads such as street lights are treated as a SAC.

⁹ EGs may also take load from the system. The load side will be classified as either a CAC, ICC or SAC, and a separate network tariff will apply.

Network User Group	Description
	The SAC group is further subdivided into network tariff categories based on whether: • The customer's connection is metered or unmetered; • The customer is taking supply at high voltage or low voltage; • The customer's consumption is above or below 100 MWh p.a.; • The customer has a meter installed capable of recording demand; and • The customer's supply is capable of being controlled by Ergon Energy.
EG	Those customers that export energy into the distribution system. EGs do not include customers with micro generation facilities that have been classified as a SAC. EGs are separated into two categories: • EGs that are connected to the distribution system and only generate into the distribution system. These network tariffs are based on identifying the share of the dedicated connection assets utilised by the generator; or • EGs that are connected to the distribution system, generate and take load from the system: - o The generator side of the EG's network tariffs are based on identifying the share of the dedicated connection assets utilised by the generator; and - o The load side of the EG's network tariffs are based on identifying the share of dedicated and shared network assets utilised by the load, depending on the network user group allocated (i.e. ICC, CAC or SAC).

3.3.2 Pricing Zones

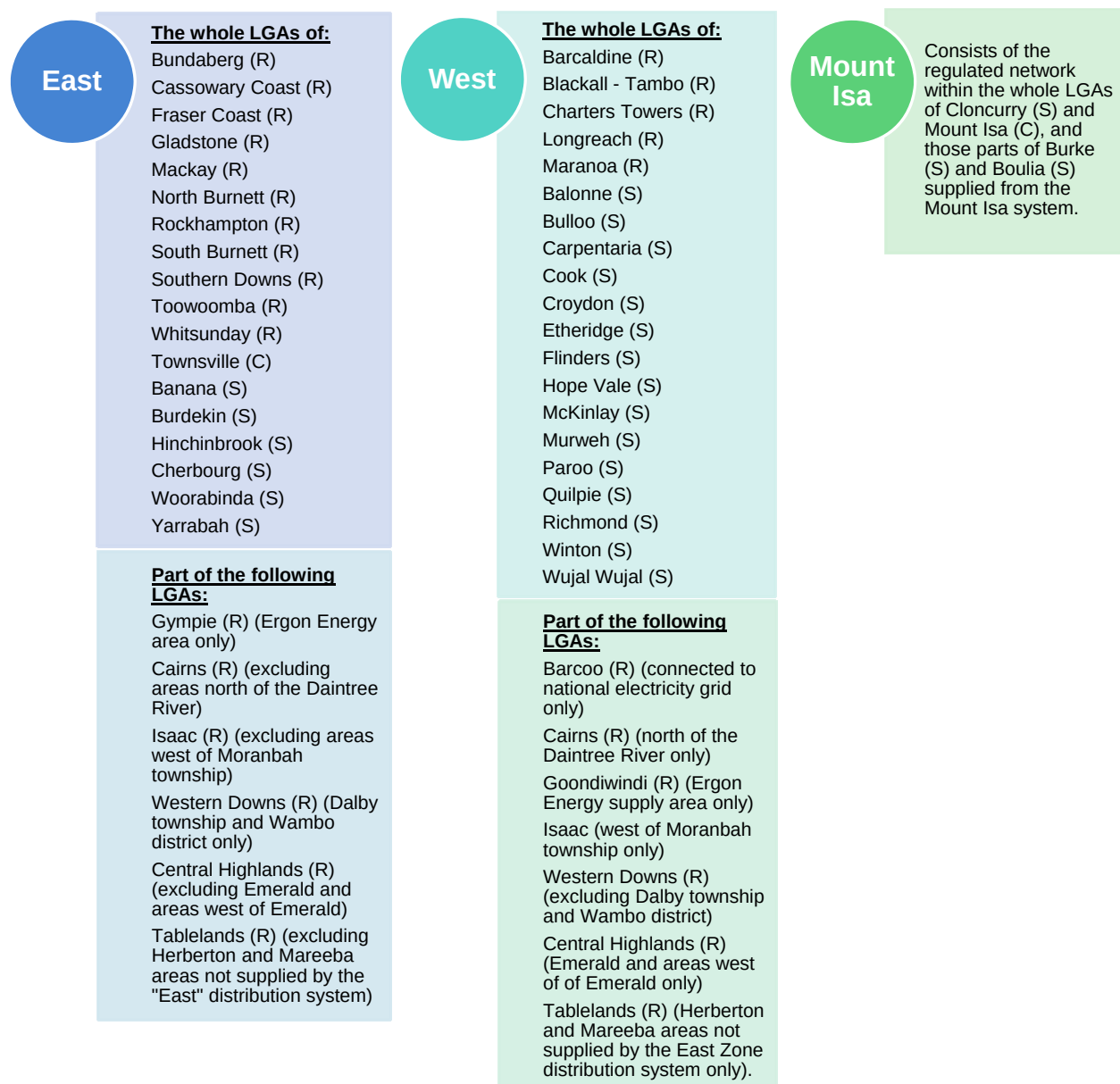
Network pricing zones are utilised by Ergon Energy to define geographic areas of the network where costs are assessed to be broadly similar. Ergon Energy has three pricing zones:

- **East Zone** – those areas where the network users are supplied from the distribution system connected to the national grid and have a relatively low distribution cost to supply;
- **West Zone** – those areas outside the East Zone and connected to the national grid, which have a significantly higher distribution cost of supply than the East Zone; and
- **Mount Isa Zone** – broadly defined as those areas supplied from the isolated Mount Isa system. This zone is not connected to the national grid and as such would normally be excluded from the application of the Rules. However, under the *Electricity – National Scheme (Queensland) Act 1997* the Queensland Government has transferred responsibility for the economic regulation of the Mount Isa–Cloncurry supply network to the AER.

Note – areas supplied from isolated (remote) generation are not included in any of the above zones.

The Local Government Areas (LGAs) covered by each zone are shown in Figure 3.2 below. A map depicting each zone is also located in the “Network Tariff Guide for Standard Control Services”.

Figure 3.2: Zone Coverage



Note: (R) = Regional Council; (S) = Shire Council and (C) = City Council.

3.3.3 Large Customer Connection Arrangements

Network tariffs are also differentiated by whether the customer has connected under legacy arrangements where connection assets are included in the network tariff or the new Large Customer Connection arrangements where new or augmented connection assets are paid for or contributed by the customer.

ICCs, CACs and EGs connected under the Alternative Control Services Large Customer Connection arrangements are only able to access post-30 June 2010 network tariffs. These

network tariffs differ from those that apply to all other ICCs, CACs and EGs in that they no longer recover the cost of new dedicated connection assets. Dedicated connection assets for ICCs, CACs and EGs will be levied as an up-front payment, or will be constructed by customers and gifted to Ergon Energy.

3.3.4 Summary of Network Tariffs

A listing and description of Ergon Energy's network tariffs by network user group, and the charging parameters that apply, are set out in Table 3.2 below. The tariffs and charging parameters are designed to send signals to customers about their usage and the demand they place on the network.

Table 3.2: Summary of Network Tariffs by Network User Group

Network User Group	Network Tariff	Description / Tariff Conditions	Charging Parameters			
			Fixed Charge (\$/day)	Capacity Charge (\$/kW of AD/mth)	Actual Demand Charge (\$/kW/mth)	Volume Charge (\$/kWh)
ICC ¹⁰	ICC	Applies to customers classified as an ICC in accordance with Section 3.3.1.	✓	✓	✓	✓
CAC ¹¹	CAC – 66kV	Applies to customers connected to either a 66kV substation or a 66kV line who are classified as a CAC in accordance with Section 3.3.1.	✓	✓	✓	✓
	CAC – 33kV	Applies to customers connected to either a 33kV substation or a 33kV line who are classified as a CAC in accordance with Section 3.3.1.	✓	✓	✓	✓
	CAC – 22/11kV Bus	Applies to customers connected to either a 22kV or 11kV substation who are classified as a CAC in accordance with Section 3.3.1.	✓	✓	✓	✓
	CAC – 22/11kV Line	Applies to customers connected to either a 22kV or 11kV line who are classified as a CAC in accordance with Section 3.3.1.	✓	✓	✓	✓
EG	EG	Applies to customers classified as an EG in accordance with Section 3.3.1. Tariff applies to generation side only. Additional tariffs apply to the load side of an EG.	✓			
SAC >100 MWh p.a. ¹²	Demand High Voltage	Primary tariff available to high voltage metered customers who are not otherwise classified as an ICC, CAC or EG in accordance with Section 3.3.1. Minimum chargeable demand – 400kW	✓		✓	✓
	Demand Large	Primary tariff available for SAC customers consuming more than 100 MWh p.a. Minimum chargeable demand – 400kW	✓		✓	✓

¹⁰ ICC network tariffs incorporate customer specific charges for each of the charging parameters indicated.

¹¹ CAC network tariffs incorporate customer specific charges for the fixed charge parameter and an average for each voltage category for the remaining charging parameters that apply.

¹² SAC > 100 MWh p.a. network tariffs incorporate average charges for each of the charging parameters that apply.

Network User Group	Network Tariff	Description / Tariff Conditions	Charging Parameters			
			Fixed Charge (\$/day)	Capacity Charge (\$/kW of AD/mth)	Actual Demand Charge (\$/kW/mth)	Volume Charge (\$/kWh)
	Demand Medium	Primary tariff available for SAC customers consuming more than 100 MWh p.a. Minimum chargeable demand – 120kW	✓		✓	✓
	Demand Small	Primary tariff available for SAC customers consuming more than 100 MWh p.a. Minimum chargeable demand – 30kW	✓		✓	✓
SAC <100 MWh p.a.¹³	Volume Large	Primary tariff that applies to customers with consumption typically between 26 MWh and 100 MWh p.a.	✓			✓
	Volume Small	Primary tariff that applies to customers with consumption typically less than 26 MWh p.a.	✓			✓
	Volume Controlled	Secondary tariff available for customers consuming less than 100 MWh p.a. who have loads that are eligible to have supply controlled by Ergon Energy (e.g. hot water, air-conditioning, and pool pumps etc.). Supply is generally available for a minimum period of 18 hours each day, at the absolute discretion of Ergon Energy.	✓			✓
	Volume Night Controlled	Secondary tariff available for customers consuming less than 100 MWh p.a. who have loads that are eligible to have supply controlled by Ergon Energy. Supply is generally available for a minimum period of 8 hours each day, at the absolute discretion of Ergon Energy, but usually for a limited number of hours each night in off-peak periods.	✓			✓
	Volume Unmetered	Applies to small uniform loads approved to be unmetered by Ergon Energy. This includes the provision of energy to street lights, traffic lights, watchman lights and other types of unmetered public amenities (e.g. illuminated signs, phone boxes and barbeques etc.).	✓			✓

3.4 Allocation of Designated Pricing Proposal Charges

Under the Rules, Ergon Energy is able to recover designated pricing proposal charges incurred by Ergon Energy for TUOS services which include:

- Charges for prescribed exit services, prescribed common transmission services and prescribed TUOS services. These charges are billed to Ergon Energy by Powerlink, the Queensland Transmission Network Service Provider (TNSP);
- Avoided customer TUOS charges;
- Charges for distribution services provided by another DNSP; and

¹³ SAC < 100 MWh p.a. network tariffs incorporate average charges for each of the charging parameters that apply.

- Charges or payments specified in Clause 11.39 of the Rules which include:
 - o Charges levied on Ergon Energy for use of the 220kV network which supplies the Cloncurry network; and
 - o Entry and exit services charged by Powerlink at four connection points – Queensland Nickel, Stoney Creek, Kings Creek and Oakey Town.

This means Ergon Energy must design tariffs to pass through costs related to the payment of TUOS to Powerlink, Avoided TUOS payments to eligible EGs and payments to other DNSPs for the use of their network. For simplicity, all designated pricing proposal charges incurred by Ergon Energy will be referred to as TUOS for the purposes of this Pricing Proposal.

The allocation of TUOS charges to customers in the formation of tariffs is undertaken on the basis described in Section 6.13.

3.5 Tariff Schedules

Appendix 1 sets out the tariffs that comprise each Standard Control Service tariff class and the relevant charging parameters.



4 Establishing 2013–14 Tariffs for Alternative Control Services

4.1 Overview

Ergon Energy's Alternative Control Services are regulated under a price cap control mechanism. This means the AER determines Ergon Energy's efficient costs, and approves a maximum price that Ergon Energy can charge for the service.

Ergon Energy has established tariffs for Alternative Control Services consistent with previous years of this regulatory control period. For Fee Based and Quoted Services, a formula based approach is used to determine the efficient costs (and price) of providing the service. This is discussed further in Section 4.2.

For Street Lighting Services, the approach used to determine the efficient costs (and price) will depend on the type of service carried out. Further information on the tariff setting process for the different types of services provided in connection with street lights is detailed in Section 4.4.

4.2 Tariff Setting Process for Fee Based and Quoted Services

4.2.1 Fee Based Services

In accordance with section 18.4 of the AER's Final Distribution Determination, Ergon Energy will apply the following formula when calculating the tariffs to be levied for our Fee Based Services.

$$Pi = Li + Mi + CAi + GSTi$$

Where:

Li = the cost of labour involved in the delivery of the service, calculated as the product of an hourly rate (inclusive of on-costs and shared costs (overheads)) and the time spent by the personnel involved. The amount of time includes both travel time and the time spent delivering the service;

Mi = the cost of non-capitalised materials expensed in the delivery of the service (inclusive of overheads);

CAi = reflects the use of non-system physical assets owned by Ergon Energy involved in the delivery of the service. This charge reflects the return on assets (ROA) and depreciation of those assets employed in the delivery of the service (e.g. trucks and IT systems); and

GSTi = the Goods and Services Tax component of the service charge.

The AER requires Ergon Energy to recalculate our labour and material escalators and overheads each regulatory year. Quantitative and qualitative information is provided in the

Pricing Proposal where changes have been proposed to the approved escalators and overheads. This information is set out in Section 7.3 of this Pricing Proposal.

The calculation of Ergon Energy's Fee Based prices is set out in Appendix 5.

4.2.2 Quoted Services

In accordance with the Tribunal's Determination made on 19 May 2011, Ergon Energy will apply the following formula when calculating the tariffs to be levied for our Quoted Services.

$$Pi = Li + Mi + OCi + CAi + GSTi$$

Where:

Li = the cost of labour involved in the delivery of the service, calculated as the product of an hourly rate (inclusive of on-costs and shared costs (overheads)) and the time spent by the personnel involved. The amount of time includes both travel time and the time spent delivering the service;

Mi = the cost of non-capitalised materials expensed in the delivery of the service (inclusive of overheads). For new large customer connection services, this could include large scale capital items which are charged directly to customers;

OCi = other one off costs (inclusive of overheads) relating to the delivery of the service, including:

- (a) the hire or supply of assets and equipment;
- (b) the supply of services such as contractors and external labour; and
- (c) the cost of permits.

Other Costs are to be charged to customers at their cost to Ergon Energy plus overheads;

CAi = reflects the use of non-system physical assets owned by Ergon Energy involved in the delivery of the service. This charge reflects the ROA and depreciation of those assets employed in the delivery of the service (e.g. trucks and IT systems); and

GSTi = the Goods and Services Tax component of the service charge.

The AER requires Ergon Energy to recalculate our labour and material escalators and overheads each regulatory year. Quantitative and qualitative information is provided in the Pricing Proposal where changes have been proposed to the approved escalators and overheads. This information is set out in Section 7.3 of this Pricing Proposal.

The calculation of Ergon Energy's Quoted Services prices is set out in Appendix 5.

4.3 Queensland Government Caps on Fee Based and Quoted Services

4.3.1 Background

The Queensland Government has set maximum price caps to apply to a subset of Ergon Energy's Fee Based and Quoted Services through Schedule 8 of the *Electricity Regulation 2006*. Since the price caps are imposed through legislation, they take precedence over the prices approved by the AER. This means that Ergon Energy cannot recover our full costs of providing these services.

Further, the Queensland Government has not established a mechanism by which the capped prices for these services may be revised annually to reflect actual costs.

4.3.2 Maximum Price Caps for the 2010–15 Regulatory Control Period

Ergon Energy anticipates that the maximum price caps will continue to impact Ergon Energy's ability to effectively recover the costs of providing some Fee Based and Quoted Services. Under the regulatory framework in place for the 2010–15 regulatory control period, the shortfall in revenue for the services subject to the maximum price cap cannot be recovered by increasing network tariffs or prices for other Alternative Control Services. As a result, the shortfall is borne by Ergon Energy.

It is important to note that the prices contained in Appendix 4 reflect the tariffs derived under the tariff setting process detailed in Sections 4.2.1 and 4.2.2. This means the tariffs have been calculated in accordance with the AER's Final Distribution Determination and the Tribunal's Determination (respectively) and are not constrained by the maximum price caps applied under Schedule 8 of the *Electricity Regulation 2006*. Therefore, depending on the type of service, the prices in Appendix 4 may be higher than the prices customers will be charged. The "Price List for Alternative Control Services" will provide the rates applicable for 2013–14 as a result of Schedule 8 maximum price caps, and hence the prices customers will be charged.

4.4 Tariff Setting Process for Street Lighting Services

4.4.1 Types of Street Lighting Services

Ergon Energy provides three types of Alternative Control Services in connection with street lights:

- Street Lighting Service 1 – Provision of new street lighting assets;
- Street Lighting Service 2 – Operation, repair, replacement and maintenance of street lighting assets; and
- Street Lighting Service 3 – Alteration and relocation of existing street lighting assets.

Street Lighting Service 3 is a Quoted Service. This means the costs to Ergon Energy in undertaking this work is not recovered through the daily street lighting charge, but is instead recovered through separate upfront charges levied on those who utilise the service. Tariffs for Street Lighting Service 3 are calculated on a price on application basis in accordance with formula for Quoted Services set out in Section 4.2.2 of this Pricing Proposal.

Street Lighting Services 1 and 2 are the only elements of service which are factored into Ergon Energy's ACS – Street Lighting Services. They have been developed on a limited building block approach which includes the ROA, depreciation, operating expenditure (opex) and tax allowance for all street lights installed prior to 30 June 2010, and new street lights forecast to be installed by or gifted to Ergon Energy after 30 June 2010.

Based on the approved ARR for ACS – Street Lighting Services, Ergon Energy calculated a daily charge (in dollars per light per day) for Major and Minor street lights within each of the East, West and Mount Isa zones based on:

- The number of Major and Minor street lights within each zone; and
- The asset values of Major and Minor street lights.

Street lights owned and maintained by Ergon Energy are distinguished between Major and Minor on the following basis:

- **Major street lights** – Ergon Energy standard major street lights are 100, 150, 250 and 400 watt High Pressure Sodium vapour lights and include any other non-standard or obsolete street lights that would be replaced with any of the above Ergon Energy standard major street lights in accordance with Ergon Energy policy; and
- **Minor street lights** – Ergon Energy standard minor street lights are 50, 80 and 125 watt Mercury Vapour, 70 watt High Pressure Sodium vapour lights, and compact fluorescent lights of similar luminescence and include any other non-standard or obsolete street lights that would be replaced with any of the above Ergon Energy standard minor street lights in accordance with Ergon Energy policy.

4.4.2 Steps in Calculating ACS – Street Lighting Tariffs

Ergon Energy uses the following methodology to calculate ACS – Street Lighting tariffs:

Step 1: Determination of Zones

Three pricing zones have been delineated in the Ergon Energy area of supply. The zones are the East Zone, the West Zone and the Mount Isa Zone. Further information on the zones is provided in Section 3.3.2 above.

Step 2: Allocation of the ARR to Zones and Street Light Type

The second step in the ACS – Street Lighting Services tariff development process is to allocate the ARR to each of the three zones. This is based on the street lighting asset values within each zone which is determined by the proportion of the value of Major and Minor street lights within each zone.

Step 3: Conversion of the Allocated ARR into Street Light Tariffs

The pro-rated Street Lighting ARR by Major and Minor street lights for each zone is then converted to a \$/day tariff for each street light type in each zone. This approach ensures that costs are allocated in a cost-reflective manner to each of the street light types.

If Ergon Energy has been requested by a customer to construct non-standard street lights, Ergon Energy may require the customer to pay an additional up-front amount towards the cost of the street light asset. Non-standard street lighting assets in this context are those where the cost of the service is not fully recovered through the daily street lighting charge over a 20 year term. The 20 year term represents a reasonable expectation of the average life of a street light asset.

The amount payable will be the incremental cost difference between a standard and non-standard street light calculated in accordance with AER requirements. Ergon Energy calculates the incremental cost as the shortfall between:

- The present value of expected revenue to be paid by the customer for ACS – Street Lighting Services over the life of a standard street light asset. This revenue is calculated using the relevant daily street lighting charge; and
- The estimated cost of providing the non-standard street lighting asset. These costs are calculated in accordance with the formula for Quoted Services set out in Section 4.2.2.

4.5 Tariff Schedules

Appendix 4 sets out the 2013–14 tariffs for our Alternative Control Services. Specifically, it sets out the prices for Fee Based Services and ACS – Street Lighting Services and examples of potential prices for Quoted Services for 2013–14.

In relation to each Quoted Service, it is important to note that the prices set out in Appendix 4 are examples of potential prices for Quoted Services. This is because the actual prices for Quoted Services will be determined at the time of the customer's enquiry and will reflect the actual requirements of the service.

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Part 2 – Demonstrating Compliance

5 Overview of Regulatory Obligations

The matters that must be satisfied by the publication of this Pricing Proposal are outlined in section 6.18 of the Rules. This includes a requirement on Ergon Energy to demonstrate compliance with the Rules and any applicable Distribution Determination (clause 6.18.2(b)(7)). In addition, Ergon Energy must comply with matters arising from the Tribunal's review of the AER's Final Distribution Determination.

Ergon Energy's compliance with the requirements is set out in the following sections. For ease of reference, a summary of the obligations is also provided in Tables 5.1, 5.2 and 5.3.

Table 5.1: Compliance Obligations under the Rules

Clause	Obligation	Demonstration of Compliance in this Pricing Proposal
6.18.2(b)(1)	Set out each tariff class (including the classes of Alternative Control Services).	Tariff classes are set out and justified in Sections 6.1 and 7.1.
6.18.2(b)(2)	Set out the proposed tariffs for each tariff class.	Tariff schedules for Standard and Alternative Control Services are set out in Appendix 1 and Appendix 4, respectively.
6.18.2(b)(3)	Set out the charging parameters and the elements of service to which each charging parameter relates.	For Standard Control Services, details of the charging parameters and the elements of the service to which each relates are set out in Section 6.3. For Alternative Control Services, the charging parameters are fixed by the control mechanism imposed by the AER and outlined in Section 4.
6.18.2(b)(4)	Set out the expected weighted average revenue for each tariff class related to Standard Control Services.	Weighted average revenue calculations for each Standard Control Service tariff class are set out in Appendix 3.
6.18.2(b)(5)	Set out the nature of any variation or adjustment to the tariff that could occur during the course of the regulatory year and the basis on which it could occur.	Variations and adjustments are set out in Section 8.2.
6.18.2(b)(6) and 6.18.7	Set out how designated pricing proposal charges incurred by distributors for TUOS services are to be passed through to customers and any adjustments to tariffs resulting from over or under-recovery of those charges in the previous regulatory year.	The method of passing through designated pricing proposal charges (TUOS) to customers is set out in Section 6.13.
6.18.2(b)(6A)	Set out how jurisdictional scheme amounts for each approved jurisdictional scheme are to be passed on to customers and any adjustments to tariffs resulting from the over or under recovery of those amounts.	Ergon Energy is not yet operating under the jurisdictional scheme cost recovery provisions in Chapter 6 of the Rules. Ergon Energy's ARR for Standard Control Services includes an allowance to recover payments made by Ergon Energy under the Solar Bonus Scheme, in accordance with arrangements in the AER's Final Distribution Determination.

Clause	Obligation	Demonstration of Compliance in this Pricing Proposal
6.18.2(b)(6B)	Describe how each approved jurisdictional scheme that has been amended since the last jurisdictional scheme approval date meets the jurisdictional scheme eligibility criteria.	Ergon Energy is not yet operating under the jurisdictional scheme cost recovery provisions in Chapter 6 of the Rules.
6.18.2(b)(7)	Demonstrate compliance with the Rules and any applicable distribution determination.	This table and Table 5.2 demonstrate how Ergon Energy complies with the Rules and our Final Distribution Determination.
6.18.2(b)(8)	Describe the nature and extent of change from the previous regulatory year and demonstrate that the changes comply with the Rules and any applicable Distribution Determination.	Variations and adjustments are set out in Section 8.3.
6.18.3(a)	Define the tariff classes into which customers for Direct Control Services are divided.	Tariff classes applicable to customers for Direct Control Services are set out and justified in Sections 6.1 and 7.1.
6.18.3(b)	Demonstrate that each customer for Direct Control Services is a member of at least one tariff class.	Assignment of each customer to a tariff class is demonstrated in Sections 6.1 and 7.1.
6.18.3 (c)	Set out separate tariff classes for Standard Control Services and Alternative Control Services.	Tariff classes for Standard and Alternative Control Services are set out in Sections 6.1 and 7.1.
6.18.3(d)(1)	Demonstrate that tariff classes are formed based on groupings of customers on an economically efficient basis.	A description of how tariff classes group customers on an economically efficient basis is set out in Sections 6.1 and 7.1.
6.18.3(d)(2)	Demonstrate that customers and tariffs are grouped into tariff classes with regard to the need to avoid unnecessary transaction costs.	A description of how tariffs are grouped into tariff classes with regard to the need to avoid unnecessary transactions costs is set out in Sections 6.1 and 7.1.
6.18.4(a)(1)(i), (ii) and (iii)	Demonstrate that customers are assigned (or re-assigned) to tariff classes on the basis of the nature and extent of their usage and the nature of their connection to the network, and that Ergon Energy has regard to the metering installed at a customer's premises when deciding whether to group a tariff into a broader tariff class.	Tariff assignment is dealt with in Sections 6.2 and 7.2.
6.18.4(a)(2)	Demonstrate that customers with a similar usage and connection profile are treated on an equal basis.	Tariff assignment is dealt with in Sections 6.2 and 7.2.
6.18.4(a)(3)	Demonstrate that customers with micro-generation facilities are treated on a basis no less favourable to customers without such facilities.	Tariff assignment is dealt with in Sections 6.2 and 7.2.
6.18.4(a)(4)	Demonstrate that customer assignment and reassignment to a tariff class does not occur in the absence of an effective system of assessment and review.	Tariff assignment is dealt with in Sections 6.2 and 7.2.

Clause	Obligation	Demonstration of Compliance in this Pricing Proposal
6.18.4(b)	Set out the system of assessment and review of the basis on which a customer is charged, if the charging parameters for a tariff vary according to the customer's usage or load profile.	Tariff assignment and the assessment and review of the basis of charge are dealt with in Sections 6.2 and 7.2.
6.18.5(a)(1) and (2)	Demonstrate that revenue from a tariff class lies on or between the stand alone and avoidable cost.	Stand alone and avoidable cost assessments are provided in Sections 6.8 and 7.6.
6.18.5(b)(1)	Demonstrate that tariffs and charging parameters have regard for long run marginal cost.	Long run marginal cost is dealt with in Sections 6.9 and 7.7.
6.18.5(b)(2)(i)	Demonstrate that tariffs and charging parameters have been determined having regard to the transaction costs associated with the tariff or each charging parameter.	Tariffs and transaction costs are dealt with in Sections 6.10 and 7.7.
6.18.5(b)(2)(ii)	Demonstrate that tariffs and charging parameters are set with regard to whether customers will respond to signals.	Tariffs and signals are dealt with in Sections 6.11 and 7.7.
6.18.5(c)	Demonstrate that if tariffs do not recover the required revenue as a result of the operation of 6.18.5(b), that tariffs have been adjusted with minimum distortion.	This is dealt with in Section 8.1.
6.18.6 (a) and (b)	Demonstrate that the weighted average revenue for a Standard Control Service tariff class does not exceed that for the previous year by more than the "permissible percentage" defined in 6.18.6(c) of the Rules.	Side constraints are dealt with in Section 6.7.
6.18.6(c)(1) and (2)	Demonstrate the "permissible percentage" has been calculated in accordance with the definition set out in this clause of the Rules.	Side constraints are dealt with in Section 6.7.
6.18.6(d)(1), (2) and (3)	Demonstrate that designated pricing proposal charges (TUOS), pass throughs and jurisdictional scheme amounts were removed from the calculation of the side constraint.	Side constraints are dealt with in Section 6.7.
6.18.6(e)	Demonstrate that the side constraints have not impacted on the extent to which the tariffs for a customer with remotely read interval metering will vary according to usage.	Side constraints are dealt with in Section 6.7.
6.18.7(a)	Demonstrate that tariffs passed on to customers the designated pricing proposal charges (TUOS) to be incurred by Ergon Energy for TUOS services.	Designated pricing proposal charges (TUOS) passed on to customers are dealt with in Section 6.13.
6.18.7(b)	Demonstrate that the designated pricing proposal charges (TUOS) passed on to customers do not exceed the forecast charges adjusted for over or under recovery.	Designated pricing proposal charges (TUOS) passed on to customers are dealt with in Section 6.13.

Clause	Obligation	Demonstration of Compliance in this Pricing Proposal
6.18.7(c)(1), (2) and (3)	Demonstrate that any designated pricing proposal charges (TUOS) over or under recovery is the difference between the amount actually paid and what was recovered from customers via TUOS charges, is consistent with the Final Determination and adjusts for the appropriate cost of capital.	Designated pricing proposal charges (TUOS) passed on to customers are dealt with in Section 6.13.
6.18.7 A (a), (b) and (c)	Demonstrate that tariffs passed on to customers the jurisdictional scheme amounts to be incurred by Ergon Energy for approved jurisdictional schemes in accordance with 6.18.7A of the Rules.	Ergon Energy is not yet operating under the jurisdictional scheme cost recovery provisions in Chapter 6 of the Rules.
6.18.8(a)(2)	Demonstrate that all forecasts associated with the proposal are reasonable.	Forecasts and the underlying rationale for estimated customer numbers, energy consumption and TUOS payments are dealt with in Section 8.4.
6.18.9(a)(1)	Demonstrate that tariffs classes and the tariffs applicable to each class are maintained on Ergon Energy's website.	This Pricing Proposal will be published on Ergon Energy's website.
6.18.9(a)(2)	Demonstrate that charging parameters are maintained on Ergon Energy's website.	This Pricing Proposal will be published on Ergon Energy's website.
6.18.9(a)(3)	Demonstrate that Ergon Energy maintains on its website a statement of expected price trends (to be updated each regulatory year) giving an indication of how it expects prices to change over the regulatory control period and the reasons for the expected changes.	The expected price trends are set out in Sections 6.12 and 7.8. This Pricing Proposal will be published on Ergon Energy's website.
6.18.9(b)	Demonstrate that the posting of information for a particular regulatory year must, if practicable, be posted on Ergon Energy's website 20 business days before the commencement of the relevant regulatory year and, if that is not practicable, as soon as practicable thereafter.	This Pricing Proposal will be published on Ergon Energy's website by the appropriate date. The "Information Guide for Standard Control Services Pricing"; "Information Guide for Alternative Control Services Pricing", "Network Tariff Guide for Standard Control Services", "Price List for Alternative Control Services" and Ergon Energy's Capital Contributions Policy as set out in Section 1.4 will also be published on Ergon Energy's website.

Table 5.2: Compliance with the Final Distribution Determination

Obligation	Demonstration of Compliance in this Pricing Proposal
Set out a method of reviewing and assessing the basis on which a customer is charged in accordance with Appendix B of the Final Distribution Determination.	Tariff assignment and the assessment and review of the basis of charge are dealt with in Sections 6.2 and 7.2.
Set out any unders/overs adjustment needed to move the balance of DUOS unders and overs account to zero (or agreed tolerance level) in accordance with Appendix D of the Final Distribution Determination.	Unders/overs adjustments needed to move the balance of DUOS unders and overs account to zero (or agreed tolerance level) is set out in Section 6.5.2.

Obligation	Demonstration of Compliance in this Pricing Proposal
Set out a record of the amount of revenues recovered from TUOS charges and associated payments in accordance with Appendix E of the Final Distribution Determination.	Revenues recovered from TUOS charges and associated payments are set out in Section 6.13.
Set out proposed prices for Street Lighting Services in accordance with section 17.3.3 of the Final Distribution Determination.	Prices for ACS – Street Lighting Services are set out in Appendix 4.
Set out revenue collected from Street Lighting Services in the preceding regulatory year in accordance with section 17.3.3 of the Final Distribution Determination.	Revenue recovered from ACS – Street Lighting Services in 2011–12 is set out in Appendix 6.
Set out prices for Fee Based Services and examples of potential Quoted Services.	Prices for Quoted and Fee Based Services are set out in Appendix 4.
Set out quantitative information that demonstrates the calculation of prices for Quoted and Fee Based Services.	A quantitative demonstration of the calculation of Quoted and Fee Based Services is set out in Appendix 5.
Set out the nature and extent of variation to individual formula components in accordance with section 18.3.5 of the Final Distribution Determination.	Variations to individual formula components for Quoted and Fee Based Services are set out in Section 7.3.1.
Set out the nature and extent of any changes to the methodology used to calculate individual formula components in accordance with section 18.3.5 of the Final Distribution Determination.	Changes to the methodology used to calculate individual formula components for Quoted and Fee Based Services are set out in Section 7.3.2.
Set out the AER's requirement to provide the volume of Fee Based and Quoted Services provided and the revenues recovered from the provision of Fee Based and Quoted Services as required by section 18.3.5 of the Final Distribution Determination.	Fee Based and Quoted Services provided and the revenues recovered from the provision of Fee Based and Quoted Services in 2011–12 are set out in Appendix 6.

Table 5.3: Australian Competition Tribunal Compliance Outcomes

Matter	Obligation	Demonstration of Compliance in this Pricing Proposal
Tribunal Determination (Other Costs)	Set out the AER's requirement to report on any departures from procurement processes and procedures in delivering Quoted Services that include Other Costs as required by the Tribunal Determination (Other Costs).	Departures from procurement processes and procedures are set out in Section 7.9.

6 Standard Control Services

6.1 Tariff Classes

As noted in Section 3.3 of this Pricing Proposal, Ergon Energy's selection of Standard Control Service tariff classes follows our cost allocation process for tariff setting by differentiating between:

- Customer groupings – being ICC, CAC, SAC and EG customers;
- Zones – being East, West and Mount Isa; and
- Whether the customer is subject to the previous arrangements where connection assets form part of the network tariff or the Large Customer Connection process where new or augmented connection assets are paid for or contributed by the customer.¹⁴

The consequent tariff classes under this approach are set out in Table 6.1 below, thus meeting the requirements of clause 6.18.2(b)(1)¹⁵ and clause 6.18.3(a)¹⁶ of the Rules. There are 27 tariff classes for Standard Control Services.

Table 6.1: Ergon Energy's Standard Control Service Tariff Classes

Tariff Class	Tariff	Network Tariff Codes
Individually Calculated Customer (Pre 30 June 2010) – East	ICC	EICCA1 onwards
Individually Calculated Customer (Pre 30 June 2010) – West	ICC	WICCA1 onwards
Individually Calculated Customer (Pre 30 June 2010) – Mount Isa	ICC	MICCA1 onwards
Individually Calculated Customer (Post 30 June 2010) – East	ICC	EICCB1 onwards
Individually Calculated Customer (Post 30 June 2010) – West	ICC	WICCB1 onwards
Individually Calculated Customer (Post 30 June 2010) – Mount Isa	ICC	MICCB1 onwards
Connection Asset Customers (Pre 30 June 2010) – East	CAC	ECACA1 onwards
Connection Asset Customers (Pre 30 June 2010) – West	CAC	WCACA1 onwards
Connection Asset Customers (Pre 30 June 2010) – Mount Isa	CAC	MCACA1 onwards
Connection Asset Customers (Post 30 June 2010) – East	CAC	ECACB1 onwards

¹⁴ It should be noted that in some instances, pre 30 June 2010 tariffs will apply to customers that connect after 30 June 2010. This is because the nature and/or timing of the connection application require that these customers be recognised under the previous arrangements. In these circumstances, customers will be notified that the tariffs for the pre 30 June 2010 tariff class will apply.

¹⁵ This clause requires a Pricing Proposal to set out the tariff classes that are to apply for the relevant regulatory year.

¹⁶ This clause requires a Pricing Proposal to define the tariff classes into which customers for Direct Control Services are divided.

Tariff Class	Tariff	Network Tariff Codes
Connection Asset Customers (Post 30 June 2010) – West	CAC	WCACB1 onwards
Connection Asset Customers (Post 30 June 2010) – Mount Isa	CAC	MCACB1 onwards
Embedded Generation (Pre 30 June 2010) – East	EG	EEGA1 onwards
Embedded Generation (Pre 30 June 2010) – West	EG	WEGA01 onwards
Embedded Generation (Pre 30 June 2010) – Mount Isa	EG	MEGA01 onwards
Embedded Generation (Post 30 June 2010) – East	EG	EEGB1 onwards
Embedded Generation (Post 30 June 2010) – West	EG	WEGB01 onwards
Embedded Generation (Post 30 June 2010) – Mount Isa	EG	MEGB01 onwards
Standard Asset Customer – Large (>100 MWh p.a.) – East	Demand High Voltage	EDHT1, EDHT2, EDHT3
	Demand Large	EDLT1, EDLT2, EDLT3
	Demand Medium	EDMT1, EDMT2, EDMT3
	Demand Small	EDST1, EDST2, EDST3
Standard Asset Customer – Large (>100 MWh p.a.) – West	Demand High Voltage	WDHT1, WDHT2, WDHT3
	Demand Large	WDLT1, WDLT2, WDLT3
	Demand Medium	WDMT1, WDMT2, WDMT3
	Demand Small	WDST1, WDST2, WDST3
Standard Asset Customer – Large (>100 MWh p.a.) – Mount Isa	Demand High Voltage	MIDH
	Demand Large	MIDL
	Demand Medium	MIDM
	Demand Small	MIDS
Standard Asset Customer – Small (<100 MWh p.a.) – East	Volume Large	EVL1, EVL2, EVL3
	Volume Small	EVST1, EVST2, EVST3
	Volume Controlled	EVCT1, EVCT2, EVCT3
	Volume Night Controlled	EVNT1, EVNT2, EVNT3
Standard Asset Customer – Small (<100 MWh p.a.) – West	Volume Large	WVLT1, WVLT2, WVLT3
	Volume Small	WVST1, WVST2, WVST3
	Volume Controlled	WVCT1, WVCT2, WVCT3
	Volume Night Controlled	WVNT1, WVNT2, WVNT3
Standard Asset Customer – Small (<100 MWh p.a.) – Mount Isa	Volume Large	MIVL
	Volume Small	MIVS
	Volume Controlled	MIVC
	Volume Night Controlled	MIVN

Tariff Class	Tariff	Network Tariff Codes
Standard Asset Customer – Unmetered – East	Volume Unmetered	EVUT1, EVUT2, EVUT3 EVUT1MI, EVUT2MI, EVUT3MI EVUT1MA, EVUT2MA, EVUT3MA
Standard Asset Customer – Unmetered – West	Volume Unmetered	WVUT1, WVUT2, WVUT3 WVUT1MI, WVUT2MI, WVUT3MI WVUT1MA, WVUT2MA, WVUT3MA
Standard Asset Customer – Unmetered – Mount Isa	Volume Unmetered	MIVU, MIVUMI, MIVUMA

In accordance with clause 6.18.3(b) of the Rules, all of Ergon Energy's customers for Standard Control Services are a member of one or more tariff classes. This is because:

- All of Ergon Energy's customers are assigned to at least one network tariff in the Distribution Cost of Supply (DCOS) Model, and no customers are priced outside this model; and
- All network tariffs calculated by the DCOS Model are allocated to Standard Control Service tariff classes (Standard Control Services being a subset of Direct Control Services).

Consistent with clause 6.18.3(c) of the Rules, Ergon Energy assigns customers receiving Standard Control Services to one of the tariff classes listed in Table 6.1. Separately, Ergon Energy provides tariff classes for customers seeking Alternative Control Services, as demonstrated in Section 7.1 below.

Finally, clause 6.18.3(d) of the Rules requires that a tariff class be constituted with regard to the need to group customers together on an economically efficient basis, and the need to avoid unnecessary transactions costs. Ergon Energy's Tariff Setting Objective and Pricing Principles Philosophy¹⁷ notes that our pricing methodologies are developed on the principle that network tariffs are an equitable reflection of the network user's utilisation of the existing network, while minimising the inefficiency of price averaging.

Our tariff class groupings follow the process of revenue allocation consistent with these principles, as outlined in Section 3. The tariffs within each tariff class have been grouped together in a manner that is easy for customers and retailers to understand, which avoids unnecessary transactions costs.

¹⁷ Refer to Appendix 2 of Ergon Energy's "Information Guide for Standard Control Services Pricing".

6.2 Assignment and Reassignment of Customers to Tariff Classes

Appendix B of the AER's Final Distribution Determination sets out its procedures for assigning or reassigning customers to tariff classes. When formulating these provisions, clause 6.18.4(a) of the Rules requires the AER to have regard to the following principles:

- (1) Customers should be assigned to tariff classes on the basis of one or more of the following factors:
 - (i) The nature and extent of their usage;
 - (ii) The nature of their connection to the network; and
 - (iii) Whether remotely-read interval metering or other similar metering technology has been installed at the customer's premises as a result of a regulatory obligation or requirement;
- (2) Customers with a similar connection and usage profile should be treated on an equal basis;
- (3) Customers with micro-generation facilities should be treated no less favourably than customers without such facilities but with a similar load profile; and
- (4) A DNSP's decision to assign a customer to a particular tariff class, or to re-assign a customer from one tariff class to another should be subject to an effective system of assessment and review.

Further, under clause 6.18.4(b) of the Rules and Appendix B of the AER's Final Distribution Determination, Ergon Energy's Pricing Proposal must also contain provisions for an effective system of assessment and review of the basis on which a customer is charged, if the charging parameters for a particular tariff result in a basis of charge that varies according to the usage or load profile of the customer.

Ergon Energy's compliance with these requirements for Standard Control Service tariff classes is set out in the remainder of Section 6.2 below.

6.2.1 Review of a Customer's Assigned Tariff Class

Assignment or reassignment of customers to Ergon Energy's Standard Control Service tariff classes occurs as a result of:

- New connections to the network;
- Existing customers applying for increased capacity on the network;
- A change in a customer's National Metering Identifier (NMI) classification;
- Annual review as part of the process of developing and submitting the Pricing Proposal for approval by the AER; or
- Requests for a review of the assigned network tariff or tariff class by either a customer and/or retailer.

Clauses 6.18.4(a)(1) and (2) are met because Ergon Energy assigns customers to tariffs on the basis of geographical location, usage and size. Customers are first classified into the East Zone, the West Zone or the Mount Isa Zone, based on geographical location. In order to provide the appropriate economic and cost of supply signals, customers are then assigned into one of four network user groups.

Further, customers with micro-generation facilities are charged the same network tariff for supply to their connection point as any other network customer with a similar load profile, thus satisfying clause 6.18.4(a)(3).

Ergon Energy relies on a range of information and has specific criteria for assessing the assignment and reassignment of customers to tariff classes. The following range of information and criteria (as set out in Table 6.2 below) is used when determining a customer's network user group, and tariff class assignment or reassignment details:

- Historical consumption data;
- Expected annual consumption for new customers or those customers who have a written agreement to increase their supply capacity;
- Customer's geographical location and assets utilised in connecting to the network; and
- For customers with energy consumption above 4 GWh p.a., a schematic of the customer's dedicated connection is obtained to ensure that customers with a similar connection and usage profile are treated on an equal basis.

It is important to note that Ergon Energy does not reassign customers without careful review and adequate justification. Reassignment would only occur in a situation where a customer alters the underlying characteristics of their connection, in terms of size or nature of usage, in that it would no longer be appropriate for the customer to remain assigned to that tariff class.

Once a customer is identified for reassignment, the connection characteristics and the customer's expected energy consumption are used to determine the appropriate customer group, and hence tariff class, to which the customer should be reassigned.

Table 6.2: Tariff Class Assignment and Reassignment Criteria for Standard Control Services

Network User Group	Typical Characteristics of Customers Assigned	Criteria for Reassigning Customers to a Different Tariff Class
SACs	• Annual consumption is expected to be below 4 GWh p.a.	• Annual consumption increases, or is expected to increase, above 4 GWh p.a.; and/or • A customer requests an increase in supply capacity requiring augmentation to connection assets which results in a dedicated supply system which is quite different and separate from the remainder of the supply network.
CACs	• Required capacity above 1,500 kVA; or • Annual consumption is expected to exceed 4 GWh p.a.	Reassigned to ICCs: • Annual consumption increases, or is expected to increase, above 40 GWh p.a.; and/or • A customer requests an increase in supply capacity requiring augmentation to their connection assets which results in a dedicated supply system which is quite different and separate from the remainder of the supply network.

Network User Group	Typical Characteristics of Customers Assigned	Criteria for Reassigning Customers to a Different Tariff Class
		Reassigned to SACs: - Annual consumption reduces or is expected to reduce below 4 GWh p.a. and their dedicated supply system is not considered to be quite different and separate from the remainder of the supply network; and/or - Required capacity falls below 1,500 kVA.¹⁸
ICCs	- Annual consumption is expected to exceed 40 GWh p.a.; or - Their dedicated supply system is considered to be quite different and separate from the remainder of the supply network.	Annual consumption reduces or is expected to reduce below 40 GWh p.a. and their dedicated supply system is considered comparable with CACs at the same voltage level.

6.2.2 Review of the Charging Basis

Consistent with 6.18.4(b) of the Rules, Ergon Energy has a system for assessing and reviewing the basis on which a customer is charged.

Ergon Energy may review the charging basis in response to changes in usage or load profile where:

- A change in the usage or load profile of a customer may mean a different network tariff is more applicable; or
- Within a network tariff, it is appropriate to change the charging parameter/s because of changes according to the customer's usage. For example, an additional charging parameter may be included once usage reaches a certain level.

Ergon Energy annually reviews the assignment of customers to our tariff classes as part of the process of developing and submitting our Pricing Proposal to the AER for approval. In undertaking this review, Ergon Energy uses set procedures and specific criteria (as set out in Table 6.2 above) to determine when it is appropriate for a customer to be reassigned to a tariff class as a result of material change in the customer's energy consumption or connection characteristics.

These procedures by default also ensure the customer's underlying network tariff associated with a tariff class also remains appropriate with respect to the customer's usage or load profile. That is, if Ergon Energy identifies that a tariff class reassignment is required for a particular customer, then a change to the customer's underlying network tariff necessarily follows.

In addition to this annual review process, customers and/or retailers can expressly request Ergon Energy to review and change a network tariff assigned to a customer in the event of variation to the customer's usage or load profile. Provided that Ergon Energy agrees to the change in network tariff, this change can take effect during a regulatory year. Ergon Energy

¹⁸ With the exception of those customers who have a dedicated supply system which is quite different and separate from the remainder of the supply network or where inequitable treatment of otherwise comparable customers will arise from the application of the 4 GWh threshold.

uses the procedures and specific criteria set out above to determine if it is appropriate to change the network tariff assigned to a customer.

With respect to variations in the basis of charge within a network tariff, Ergon Energy can confirm that the charging parameters within our network tariffs do not alter as the customer's usage or load profile varies. That is, each charging parameter within a tariff applies equally to each customer assigned to the network tariff regardless of a customer's individual usage or load profile. Should a customer's usage or load profile vary, the customer can either manage their usage by responding to the price signals inherent in the charging parameters of the tariff, or request to be reassigned to an alternative network tariff (if applicable) that may be more cost-effective for the customer's revised requirements.

6.2.3 Notification of a Tariff Class Assignment and Reassignment

Once Ergon Energy has assigned or reviewed the assignment of a customer to a Standard Control Service tariff class, written notification is provided to the customer and their retailer prior to the assignment or reassignment occurring. The written notice includes:

- Advice that the customer may request further information from Ergon Energy and that they may object to the proposed assignment or reassignment;
- A link to Ergon Energy's website where a copy of the internal procedures for reviewing objections is located; and
- Advice that the customer is entitled to seek resolution via the dispute resolution process under Part 10 of the Law, if the objection is not resolved by Ergon Energy to the satisfaction of the customer.

In addition, the "Network Tariff Guide for Standard Control Services" sets out the circumstances when a tariff class assignment and reassignment may occur, and provides details on how the customer or retailer can request further information on a tariff class assignment, and the procedures to follow if the customer objects to a proposed tariff class assignment or reassignment. This information is also available in the "Retailer Handbook" issued and available to retailers operating in Ergon Energy's distribution area.

6.2.4 Objections to a Tariff Class Assignment or Reassignment

If either the customer or retailer raises an objection to a tariff class assignment or reassignment, the matter is reviewed and, if required, escalated to the Manager Regulatory Determination and Pricing for reassessment. Following this internal review, should the matter not be resolved to the satisfaction of the customer, the customer is entitled to refer the matter to the AER for resolution via the dispute resolution process available under Part 10 of the Law.

At the time of preparing this Pricing Proposal, Ergon Energy had not received any objections to a tariff class assignment or reassignment relating to Standard Control Services that occurred during the 2012–13 year.

6.3 Tariff Charging Parameters

The network tariffs comprise a number of charging parameters, each selected and structured to provide signals to network users about the efficient use of the network and the impact of their usage on future network capacity and costs.



The following charging parameters have been adopted in 2013–14.

6.3.1 Fixed Charges

The fixed charge is intended to reflect the incremental costs that arise from the connection and management of the network user. This sends a clear signal to the network user about the economic value of the dedicated connection assets. Network users can manage these costs by ensuring that the dedicated connection assets installed match their load and reliability requirement. For SACs <100 MWh p.a., the fixed charge also recovers a portion of the shared network costs.

6.3.2 Capacity and Actual Demand Charges

Shared network costs for ICCs, CACs and SACs >100 MWh p.a. are recovered through the capacity charge and/or actual demand charge components. These charges provide the economic signals to the customers on the existing and future use of the shared network on the basis that customers who place greater pressure on the system incur higher charges.

The demand used for the calculation of the capacity charge is the authorised demand, or if no authorised demand, the annual maximum demand in the previous full pricing period prior to the setting of prices. Under certain circumstances, where there has been a significant change in demand attributable to a network user's load change after this previous pricing period, a more recent demand may be substituted.

Further, where the actual demand exceeds the authorised demand in any one month the actual demand will be substituted for the authorised demand in the calculation of the capacity charge for that month.

The demand used for the calculation of the actual demand charge is the annual average demand (i.e. the average of the monthly maximum demands in the previous full pricing period prior to the setting of prices). Under certain circumstances, where there has been a significant change in demand attributable to a network user's load change after this previous pricing period, a more recent average demand may be substituted.

The capacity charge applies to ICC and CAC network users only. For SACs >100 MWh p.a., a minimum chargeable actual demand charge applies instead of a capacity charge.

SACs <100 MWh p.a. do not have either a capacity charge or an actual demand charge. The shared network component for these customers is recovered through a combination of the fixed charge and the volume charge.

6.3.3 Volume Charges

The volume charge is used to recover Network Operation Asset costs and a portion of the Other Assets costs not recovered in the fixed charge. For SACs <100 MWh p.a., the volume charge also recovers a portion of the shared network costs not included in the fixed charge. The volume charge applies to the energy (kWh) metered at the customer's installation.

6.4 Tariff Schedules

Clause 6.18.2(b)(2) of the Rules requires Ergon Energy to set out the proposed tariffs for each tariff class. Accordingly, the 2013–14 tariffs for Standard Control Services are set out in Appendix 1.

6.5 Revenue is Consistent with MAR Formula

Section 4.5.1 of the AER's Final Distribution Determination requires Ergon Energy to demonstrate in our Pricing Proposal that the proposed tariffs and charging parameters which lead to expected revenue are consistent with the MAR formula, plus any unders or overs adjustment needed to move the balance of the DUOS unders and overs account to zero.

This section sets out the manner in which prices have been developed based on revenue that has regard for all necessary adjustments, including the adjustment which has been made to give effect to the Queensland Government's direction relating to the ENCAP Review.

The resulting revenue cap calculation for 2013–14 is demonstrated in Appendix 2.

6.5.1 Calculation of the MAR

In accordance with section 4.5.1 of the Final Distribution Determination, Ergon Energy applies the following formulas when calculating the AR_t^{19} and the MAR for a given regulatory year.

$$MAR_t = AR_t \pm S_t \pm C_t \pm \text{transitional}_t \pm \text{passthrough}_t$$

Where:

AR_t is the allowed revenue for regulatory year t ;

S_t is the STPIS factor to be applied in regulatory year t ;

C_t is the annual adjustment factor for the difference between actual and forecast capital contributions in year $t-2$ and indexed for two years by the nominal rate of return;

transitional_t is a transitional factor for matters such as unders and overs in tax paid during the current regulatory period and unders and overs adjustments related to standard shared assets used for purposes other than Standard Control Services; and

passthrough_t is the approved pass through amounts with respect to regulatory year t , as determined by the AER.

¹⁹ The AR is an input into the calculation of Ergon Energy's MAR. It reflects adjustments made to the smoothed revenue requirements originally set out in the AER-approved Post Tax Revenue Model (PTRM) for actual inflation.

$$AR_t = AR_{t-1} \times (1 + \Delta CPI_t) \times (1 - X_t)$$

Where:

AR_{t-1} is the allowed revenue for regulatory year $t-1$;

ΔCPI_t is the annual percentage change in the Australian Bureau of Statistics (ABS) Consumer Price Index All Groups, Weighted Average of Eight Capital Cities from March in year $t-2$ to March in year $t-1$; and

X_t is the X factor for each year of the next regulatory control period as determined by the PTRM.²⁰

6.5.2 Adjustments to the MAR Calculation

DUOS Unders and Overs Account

Under section 4.6 of the Final Distribution Determination, the ARR for any given regulatory year is the MAR, plus any under/over adjustment required to 'clear' any under or over recovery in actual DUOS revenue from the most recently completed regulatory year (subject to tolerance limits).

This annual unders and overs process ensures Ergon Energy recovers no more and no less than the MAR approved by the AER for any given regulatory year.²¹ Under these arrangements there is a two year lag between the year in which the under or over recovery occurs and the year in which the adjustment is made to network tariffs to account for any DUOS under or over recovery.

Ergon Energy is also proposing an adjustment of approximately \$0.01 million to the opening balance of the DUOS unders and overs account to correct an immaterial misstatement in the closing balance of the DUOS unders and overs account in the 2012–13 Pricing Proposal. This is subject to approval by the AER as part of this Pricing Proposal.

The AER requires that Ergon Energy maintain a DUOS unders and overs account which is to be provided to the AER in this Pricing Proposal.

Table 6.3 below sets out the DUOS unders and overs account, in accordance with Appendix D of the Final Distribution Determination.

²⁰ Note that the Tribunal varied the outcomes from the Final Distribution Determination including the X factor to be applied in 2013–14.

²¹ Subject to other adjustments made as the result of the Tribunal's decision on gamma and the ENCAP Review.

Table 6.3: Calculation of DUOS Unders and Overs Account (\$'000)

	2011–12 Actual	2013–14 Forecast
Revenue from DUOS charges	\$1,145,252	\$1,592,500
Less under/over adjustment approved by regulator for year t-2	\$296	n/a
Reversal of benchmark tax liability	(\$40,860)	\$0
Reversal of ENCAP Review revenue	\$0	(\$42,152)
Less MAR for the relevant year	\$1,235,314	\$1,602,600
Allowed Revenue (AR)	\$1,247,546	\$1,501,088
STPIS ²²	\$0	\$1,846
Capital Contribution unders/overs adjustment	(\$17,416)	\$73,519
Transitional adjustments	\$5,184	(\$1,661)
Approved pass throughs	\$0	\$27,808
Under/Over recovery for the regulatory year	(\$49,498)	\$32,051
DUOS Unders and Overs Account		
Nominal Weighted Average Cost of Capital (WACC) – as determined by AER for 2011–12	9.72%	
Opening balance	(\$57,859)	(\$123,084)
Adjustment to opening balance to correct error in 2012–13 DUOS unders and overs account ²³	(\$12)	n/a
Interest on opening balance	(\$5,625)	n/a
Under/over recovery for regulatory year 2011–12	(\$49,498)	\$32,051
Interest on under/over recovery for regulatory year 2011–12	(\$10,090)	n/a
Closing Balance	(\$123,084)	(\$91,033)

²² Note this adjustment has been calculated based on the S Factor confirmed by AER correspondence dated 22 April 2013.

²³ Note this adjustment is subject to approval by the AER as part of this Pricing Proposal.

Tolerance Limits for Clearing the DUOS Unders and Overs Account

Section 4.4.2 of the AER's Final Distribution Determination sets out the tolerance limits that are to apply to DUOS under and over recoveries. If the DUOS under or over recovery compared to the MAR for year t is:

- Less than 2 per cent, the DUOS under or over recovery will be cleared within one regulatory year;
- Between 2 per cent and 5 per cent, the DUOS under or over recovery can be spread over two regulatory years; and
- Greater than 5 per cent, Ergon Energy must submit a plan to the AER detailing how we propose to clear the balance of the DUOS unders and overs account.

Ergon Energy has applied the following formula in determining whether the adjustment required to clear Ergon Energy's DUOS unders and overs account in 2013–14 will exceed any of the tolerance limits set out in the AER's Final Distribution Determination.

$$\text{DUOS under/over recovery threshold}_t = \frac{\text{DUOS under/over balance} + \text{DUOS under/over}_t}{\text{MAR}_t}$$

Where:

DUOS under/over balance is the closing balance from the DUOS unders and overs account in year $t-1$ and indexed for one year by the nominal rate of return;

DUOS under/over_t is the under/over recovery associated with DUOS revenue in year $t-2$ and indexed for two years by the nominal rate of return; and

MAR_t is the Maximum Allowable Revenue in year t as determined by the formula set out in section 4.5.1 of the Final Distribution Determination.

Ergon Energy has under-recovered our revenue allowance associated with DUOS charges for the 2011–12 regulatory year by \$59.59 million (2013–14 dollars). Combined with the DUOS unders and overs opening balance of \$63.48 million associated with the 2010–11 under-recovery and the adjustment to the DUOS unders and overs opening balance of \$0.01 million, this represents 7.68 per cent of Ergon Energy's MAR for 2013–14. This means the 5 per cent tolerance limit has been exceeded and Ergon Energy will need to provide a plan to the AER detailing how we propose to clear the balance of the DUOS unders and overs account.

Proposed Plan to Clear DUOS Under-recoveries

To ensure customers do not experience price shocks, Ergon Energy proposes to spread the 2011–12 under-recovery over multiple regulatory years, instead of clearing the entire under-recovery as part of the network tariffs we set for 2013–14. The remaining balance of the 2010–11 under-recovery will also be spread over multiple regulatory years, as per the DUOS Under-Recovery Plan detailed in our 2012–13 Pricing Proposal.

This approach is consistent with tolerance limit arrangements that apply to the DUOS unders and overs account set out in section 4.4.2 and Appendix D of the AER's Final Distribution Determination.

Appendix 7 provides further details on Ergon Energy's proposed plan to clear the DUOS unders and overs account.

ENCAP Review

As noted in Section 2.2.1, Ergon Energy received a direction from the Queensland Government on 11 February 2012 to not recover \$99.18 million of our AER-approved revenue allowances for the remainder of the regulatory control period as a result of the ENCAP Review.

In our 2012–13 Pricing Proposal, Ergon Energy proposed to make an adjustment to the smoothed revenues to be collected from DUOS charges after performing the MAR and DUOS unders and overs calculations in each regulatory year. We proposed to reduce our revenue allowance by \$57.03 million in the 2012–13 regulatory year and \$42.15 million in 2013–14 (i.e. not spread the \$42.15 million over 2013–14 and 2014–15). Ergon Energy proposes to continue this approach.

Appendix 7 sets out the adjustments Ergon Energy has forecast to make in 2013–14 as a result of the Queensland Government's direction. This adjusted MAR becomes Ergon Energy's ARR (or 'Revenue Cap') for 2013–14 which forms an input to the DCOS Model used to calculate Ergon Energy's network tariffs for 2013–14.

6.6 Forecast Weighted Average Revenue for each Tariff Class

Clause 6.18.2(b)(4) of the Rules requires Ergon Energy to set out, for each tariff class related to Standard Control Services, the expected weighted average revenue for the relevant regulatory year and also for the current regulatory year. This is shown in Appendix 3.

6.7 Side Constraints

Clause 6.18.6(b) of the Rules requires the expected weighted average revenue to be raised from a Standard Control Services tariff class, to not exceed the corresponding expected weighed average revenue from the preceding year, by more than a permissible percentage (side constraint). In section 4.5.2 of the Final Distribution Determination, the AER provides further guidance on side constraints, and requires Ergon Energy to demonstrate that proposed DUOS prices meet the following side constraint formula:

$$\frac{\sum_{j=1}^m d_t^j \times q_t^j}{\sum_{j=1}^m d_{t-1}^j \times q_t^j} \leq (1 + \Delta CPI_t) \times (1 - X_t) \times (1 + 2\%) \pm S_t \pm C_t \pm transitional_t \pm passthrough_t \pm unders \& overs_t$$

where each tariff class 'j' has up to 'm' components, and where:

d_t^j is the proposed price for component 'j' of the tariff class for year t;

d_{t-1}^j is the price charged by the DNSP for component 'j' of the tariff class in year t-1;

q_t^j is the forecast quantity of component 'j' of the tariff class in year t;

ΔCPI_t is the annual percentage change in the ABS Consumer Price Index All Groups, Weighted Average of Eight Capital Cities from March in regulatory year t-2 to March in regulatory year t-1;

X_t is the X factor for each year of the regulatory control period. If $X > 0$, then X will be set equal to zero for the purposes of the side constraint formula;

S_t is the STPIS factor to be applied in regulatory year t;

C_t is the annual adjustment factor for the difference between forecast and actual capital contributions in year t-2;

$transitional_t$ is a transitional factor for matters such as unders and overs in tax paid during the current regulatory control period and unders and overs adjustments related to shared assets used for purposes other than standard control services;

$passthrough_t$ is an annual adjustment factor that reflects the pass through amounts approved by the AER with respect to regulatory year t; and

$unders \& overs_t$ is an annual adjustment factor related to the balance of the DUOS unders and overs account with respect to regulatory year t.

Ergon Energy confirms that the weighted average revenue for our tariff classes for 2013–14 is within the percentage allowed by the side constraint formula set out in section 4.5.2 of the Final Distribution Determination. This is demonstrated in Appendix 2.

Clause 11.16.8 of the Rules also sets out a transitional arrangement for Ergon Energy which provides that:

For the regulatory control period, nothing in clause 6.18.6 [of the Rules] should preclude the implementation of any price paths approved by the QCA (including any necessary adjustment of those price paths in light of the expected revenue for the first regulatory year of the regulatory control period).

In the 2005–2010 regulatory control period, the QCA required Ergon Energy to adopt side constraints on individual contestable customer distribution price increases to a maximum of CPI plus 5 per cent per year.²⁴ The transitional arrangement set out in clause 11.16.8 of the Rules allows Ergon Energy to apply the QCA-approved price paths for some customers which exceed these side constraints. In section 4.5.2 of the AER's Final Distribution Determination, the AER stated that Ergon Energy must continue to comply with the individual side constraints for those customers listed in Table 143 of Ergon Energy's Original Regulatory Proposal.

Ergon Energy has not applied the transitional rule as the customers subjected to the QCA-approved price paths have since moved to cost reflective tariffs. This means these customers

²⁴ Queensland Competition Authority (2005), *Final Determination on the Regulation of Electricity Distribution*, April 2005, p191.

have the same side constraints applied to them as all other customers in accordance with clause 6.18.6 of the Rules.

Ergon Energy confirms that in accordance with clause 6.18.6(e) of the Rules, the application of side constraints does not limit the extent a tariff for a customer with remotely read interval metering may vary according to the time or other circumstances of the customer's usage.

6.8 Avoidable and Stand Alone Costs

Clause 6.18.5(a) of the Rules requires that for each tariff class, the revenue expected to be recovered lie on or between an upper bound representing the stand alone cost of serving the customers who belong to that class and a lower bound representing the avoidable cost of not serving those customers.

The Rules do not specifically define stand alone and avoidable costs or set out the methodology that should be applied to calculate these costs. Consequently, Ergon Energy interprets these costs in the following manner:

- **Stand alone costs** for a tariff class are the costs of establishing and maintaining infrastructure to service a single tariff class. They represent the upper bound costs of providing a service for a particular tariff class. Assuming that no other tariff classes use network infrastructure means that the economies of scale from multiple tariff classes using a shared network are ignored; and
- **Avoidable costs** are the costs which would be avoided by Ergon Energy not providing a distribution service to a particular tariff class. Thus, if Ergon Energy was to cease providing services to CACs in our West Zone, the avoidable cost methodology assesses which of our costs could be avoided.

The approach taken to determine stand alone and avoidable cost varies between Standard Control Services and Alternative Control Services. The processes for Standard Control Services are described in the following sections. Section 7.6 below sets out the processes for Alternative Control Services.

6.8.1 Stand Alone Costs

Ergon Energy has estimated the stand alone costs for each tariff class by calculating the total annual costs of operating our network less the avoidable cost of serving other tariff classes. This approach uses the total ARR as a first step, and then subtracts all costs that would be avoided if no other tariff classes were served. This assumes the existence of the network in its current state. This is consistent with the interpretation included in Ergon Energy's 2012–13 Pricing Proposal, which was approved by the AER on 1 June 2012.

Ergon Energy's assessments of stand alone cost were conducted using our DCOS Model. Ergon Energy determined the stand alone costs for each Standard Control Service tariff class by obtaining the portion of the ARR to be recovered from the applicable zone (East, West or Mount Isa) and deducting the avoidable cost for all other tariff classes within that zone.

6.8.2 Avoidable Costs

Ergon Energy interpreted avoidable cost for all tariff classes as the value of the connection assets for the customers within that tariff class. Shared costs relating to operational areas

have been assumed to be unavoidable as these operational areas service multiple tariff classes.

Ergon Energy considers that:

- Our shared costs (overheads) – that is, the costs of maintaining our corporate operations – are not avoidable for any tariff class. These services would need to be maintained for the remaining tariff classes even if one of the tariff classes was not served;
- The costs of the shared network – that is, the costs of funding and maintaining the network – are not avoidable for any particular tariff class; and
- The direct costs of supplying each tariff class – being the ROA, depreciation and opex costs on assets that are directly attributable to the customers within that tariff class – are avoidable.

6.8.3 Comparison of Avoidable Costs, Expected Revenue and Stand Alone Costs

Table 6.4 below demonstrates that for each Standard Control Service tariff class, the 2013–14 expected revenue for each tariff class lies on or between the lower bound avoidable cost and an upper bound stand alone cost, in accordance with clause 6.18.5(a) of the Rules.

The calculation of these amounts is demonstrated in Appendix 2.

Table 6.4: Avoidable Costs, Expected Revenue and Stand Alone Costs for Standard Control Services (GST Exclusive)

Tariff Class	Avoidable Costs	Expected Revenue	Stand Alone Costs	Clause 6.18.5(a) met
Individually Calculated Customer (Pre 30 June 2010) – East	\$12,100,334	\$41,077,528	\$1,085,963,440	Yes
Individually Calculated Customer (Pre 30 June 2010) – West	\$1,491,153	\$15,657,776	\$314,030,164	Yes
Individually Calculated Customer (Pre 30 June 2010) – Mount Isa	\$0	\$0	\$15,371,012	Yes
Individually Calculated Customer (Post 30 June 2010) – East	\$279,329	\$1,196,765	\$1,074,142,435	Yes
Individually Calculated Customer (Post 30 June 2010) – West	\$0	\$0	\$312,539,011	Yes
Individually Calculated Customer (Post 30 June 2010) – Mount Isa	\$0	\$0	\$15,371,012	Yes
Connection Asset Customers (Pre 30 June 2010) – East	\$10,967,973	\$85,641,461	\$1,084,831,079	Yes
Connection Asset Customers (Pre 30 June 2010) – West	\$1,119,538	\$11,603,855	\$313,658,549	Yes
Connection Asset Customers (Pre 30 June 2010) – Mount Isa	\$0	\$0	\$15,371,012	Yes

Tariff Class	Avoidable Costs	Expected Revenue	Stand Alone Costs	Clause 6.18.5(a) met
Connection Asset Customers (Post 30 June 2010) – East	\$816	\$463,531	\$1,073,863,922	Yes
Connection Asset Customers (Post 30 June 2010) – West	\$0	\$0	\$312,539,011	Yes
Connection Asset Customers (Post 30 June 2010) – Mount Isa	\$0	\$0	\$15,371,012	Yes
Embedded Generation (Pre 30 June 2010) – East	\$2,373,258	\$3,650,824	\$1,076,236,364	Yes
Embedded Generation (Pre 30 June 2010) – West	\$85,402	\$256,038	\$312,624,413	Yes
Embedded Generation (Pre 30 June 2010) – Mount Isa	\$0	\$0	\$15,371,012	Yes
Embedded Generation (Post 30 June 2010) – East	\$2,936	\$16,494	\$1,073,866,042	Yes
Embedded Generation (Post 30 June 2010) – West	\$0	\$0	\$312,539,011	Yes
Embedded Generation (Post 30 June 2010) – Mount Isa	\$0	\$0	\$15,371,012	Yes
Standard Asset Customer – Large (>100 MWh p.a.) – East	\$11,607,302	\$302,302,561	\$1,085,470,409	Yes
Standard Asset Customer – Large (>100 MWh p.a.) – West	\$792,355	\$78,050,769	\$313,331,366	Yes
Standard Asset Customer – Large (>100 MWh p.a.) – Mount Isa	\$250,909	\$5,002,678	\$15,621,921	Yes
Standard Asset Customer – Small (<100 MWh p.a.) – East	\$124,472,046	\$792,940,635	\$1,198,335,152	Yes
Standard Asset Customer – Small (<100 MWh p.a.) – West	\$11,826,225	\$218,772,898	\$324,365,236	Yes
Standard Asset Customer – Small (<100 MWh p.a.) – Mount Isa	\$2,061,609	\$12,605,900	\$17,432,620	Yes
Standard Asset Customer – Unmetered – East	\$10,165,503	\$20,085,055	\$1,084,028,609	Yes
Standard Asset Customer – Unmetered – West	\$892,993	\$2,799,413	\$313,432,004	Yes
Standard Asset Customer – Unmetered – Mount Isa	\$237,188	\$312,954	\$15,608,200	Yes

6.9 Long Run Marginal Cost

Clause 6.18.5(b)(1) of the Rules requires that each tariff and, if it consists of two or more charging parameters, each charging parameter of a tariff class must take into account the

Long Run Marginal Cost (LRMC) for the service or, in the case of a charging parameter, for the element of the service to which the charging parameter relates.

Ergon Energy interprets the LRMC as the investment required to expand long term capacity in a network.

Ergon Energy has taken guidance in relation to the application of LRMC for the purposes of satisfying clause 6.18.5(b)(1) of the Rules from the Distribution Pricing Framework Paper (MCE Paper) released by the Ministerial Council on Energy as part of the development of 6.18 of the Rules. The MCE Paper, while stopping short of providing a definition for LRMC, noted that it is:

...a forward looking concept that relies as much on probability and expectation as on fact. Estimates of marginal cost therefore represent the probability weighted cost of various expectations of demand and supply scenarios.

Importantly, the MCE Paper did not propose that a DNSP should define LRMC in a numerical sense. Rather, a DNSP should select charging parameters based on long run costs incurred by a DNSP – such as the need for investment in network capacity – which have the potential to alter customer behaviour and which reflect the usage basis of that customer. By structuring tariffs based on charging parameters which signal these long term capacity based costs, a DNSP can ensure that its tariffs (and charging parameters) reflect LRMC.

The MCE Paper did not define a method of determining LRMC – it merely suggested a mechanism by which LRMC could be reflected into prices through the selection of appropriate charging parameters by a utility.

In line with previous years, Ergon Energy has determined the costs to be recovered from a tariff class, and incorporated the same charging parameters within each tariff, in order to reflect long term cost and provide effective signals. Ergon Energy's tariffs and charging parameters recover amounts from tariff classes which are reflective of the costs of providing services to these customers. The tariffs also provide signals to customers through the incorporation of cost-effective charging parameters into the respective tariff structures.

Ergon Energy allocates the ARR to tariff classes on the basis of:

- **The number of customers connected to the network.** This allocator is appropriate for those costs that are dependent upon or driven by the number of connected customers. Ergon Energy has a number of costs that are customer number based, including a significant proportion of the overhead costs of the business that are driven by the number of staff and systems required to serve the customer base;
- **Anytime energy.** This is used to allocate those costs that are related to the size of the customer but not specifically to the demand that customer places on the network (e.g. network operating costs). In addition, consistent with the recovery mechanisms used in the electricity market, costs that cannot be directly related to a product or service are recovered through the use of anytime energy prices (e.g. some overhead costs);
- **Any Time Maximum Demand (ATMD).** This method of allocation is used for shared system costs, on the basis that network development is driven by peak demand; and
- **Asset value.** This is used to apportion ROA, depreciation and opex costs.

Ergon Energy's charging parameters aim to effectively signal LPMC to customers, in particular to signal the cost impact that customers will have on the network in the most economically efficient way. These signals vary by tariff class and are different between SAC > 100 MWh p.a. and SAC < 100 MWh p.a. tariff structures. This reflects differences between the costs of supporting more sophisticated tariff structures and the system and customer benefits when applied to different tariff classes and customer scale. The charging parameters within each network tariff have also been designed to recover Ergon Energy's expected revenue with minimum distortion to efficient patterns of consumption. This in turn assists to manage demand and volume variance risk, and avoids sending signals that could result in inefficient choices being made by customers of that tariff class.

As highlighted in Section 6.3 of this Pricing Proposal, Ergon Energy uses three types of charging parameters to signal customers, being fixed charges, capacity and actual demand charges, and volume charges. This Pricing Proposal is consistent with application of these parameters. Each of these charging parameters is discussed below.

As indicated in Section 2.3, Ergon Energy is undertaking stakeholder consultation to explore whether we can improve on these parameters through structural changes which build on the existing tariff. Improvements under consideration include providing more granularity of cost reflection (e.g. time-of-use) and stronger reflection of distribution business cost drivers (e.g. kVA denomination of capacity and actual demand charges).

6.9.1 Fixed Charges

As outlined in Section 6.3.1, Ergon Energy's fixed charging parameter reflects the costs associated with the connection assets (entry and exit services) and network user management services. The fixed charge provides a signal to network users about the cost of their connection and assists them in understanding costs prior to making a decision to connect to the network. Based on a \$/day, a fixed charge applies to all of Ergon Energy's customer groups.

6.9.2 Capacity and Actual Demand Charges

As set out in Section 6.3.2, shared network costs for ICCs, CACs and SACs >100 MWh p.a. are recovered through the capacity charge and/or actual demand charge components. These charges provide the economic signals to customers on the use of the shared network.

Demand charges provide an important signal to the customer of the effect of their demand on system augmentation. However, these charges do not provide adequate signals to customers with a low load factor (i.e. customers which may have infrequent demand usage but impose the same load requirements on the system as high load factor customers).

A capacity charge is similar to a demand charge, but it also provides additional signals to customers with poor load factors. The demand charge uses the actual maximum demand recorded each month, whereas the capacity charge is based on an annual actual or authorised demand. Customers with a capacity charge are able to reduce their annual network charges by lowering the variability of their consumption and improving their utilisation of network capacity.

The capacity charge (\$/kW/month) applies to ICC and CAC network users only and the actual demand charges (\$/kW/month) apply to ICC, CAC, and SACs >100 MWh p.a. network users.

6.9.3 Volume Charges

As set out in Section 6.3.3, volume charges recover costs that have been allocated on a postage stamped basis. The volume charge applies to the energy (kWh) metered at all ICC, CAC and SAC installations.

6.10 Transaction Costs

Clause 6.18.5(b)(2)(i) of the Rules requires each tariff and, if it consists of two or more charging parameters, each charging parameter for a tariff class to be developed having regard to transaction costs associated with the tariff or charging parameter.

Ergon Energy confirms that we have had regard to the transaction costs when selecting our tariffs and charging parameters of tariff classes. Currently, tariffs for higher consumption customers are more sophisticated and incorporate more charging elements. This is because the benefits outweigh the associated transactional and other support costs incurred in making these tariffs available to our customers.

Ergon Energy has not altered the structure or format of our network tariffs applying from the last regulatory control period, or from the preceding regulatory year. As a result, Ergon Energy's charging parameters for these tariffs are well known to customers and their retailers. This means that customers and retailers will continue to be charged on the same basis as they have historically been, and will therefore not incur any unnecessary transaction costs in the application of Ergon Energy's proposed tariffs and charging parameters.

As part of the review of Ergon Energy's Network Tariff Strategy, an understanding of transactional costs associated with the introduction of more sophisticated tariffs for different tariff classes will be required.

6.11 Response to Price Signals

Clause 6.18.5(b)(2)(ii) of the Rules requires each tariff and, if it consists of two or more charging parameters, each charging parameter for a tariff class to be developed having regard to whether customers of the relevant tariff class are able or likely to respond to price signals.

Each charging parameter of Ergon Energy's tariffs has been developed such that customers are able to respond to price signals.

The fixed charging parameter is designed to recover the fixed cost of a customer's connection assets. Network users can manage these costs by ensuring that the dedicated connection assets installed match their load and reliability requirement.

The capacity and actual demand charges provide a strong signal to customers on the use of the shared network, and to reduce maximum demands at points of identified constraints.

The volume charge provides a signal about the effect of increased customer usage on the network. If customers use more electricity, then they will bear an increasing portion of the ARR and therefore their charges will rise. Customers may manage the amount of their charges by reducing their usage.

6.12 Expected Price Trends

Clause 6.18.9(a)(3) of the Rules requires Ergon Energy to provide a statement of expected price trends, to be updated each regulatory year, that gives an indication of how we expect prices to change over the regulatory control period and the reasons for the expected changes.

Ergon Energy's current regulatory control period ends on 30 June 2015. For each year of the current regulatory control period, Ergon Energy has set prices for Standard Control Services to meet the requirements of clause 6.18.6 of the Rules. This means that the weighted average revenue to be raised from a tariff class will not increase between two regulatory years by more than a permissible percentage.²⁵ The permissible percentage reflects the AER-approved ARR for Ergon Energy, adjusted to reflect the outcomes of the Tribunal's review of the AER's Final Distribution Determination.

Ergon Energy expects the permissible percentage to be 6.53 per cent in 2014–15. However, this is subject to the change in the actual CPI as published by ABS. The change in prices will also be subject to any adjustments approved by the AER for:

- The STPIS;
- The difference between forecast and actual capital contributions;
- Transitional factors such as unders and overs adjustments for shared assets;
- Pass throughs;
- Jurisdictional scheme amounts; and
- Unders and overs associated with the DUOS unders and overs account.

Based on Ergon Energy's current forecast of adjustments that will apply to ARR calculations in 2014–15, Ergon Energy expects the ARR to increase by approximately 15.35 per cent (in comparison to the 2013–14 ARR). This equates to a side constraint of approximately 23.44 per cent which would be applied to Ergon Energy's tariff classes in 2014–15.

As discussed in Section 2.3 above, Ergon Energy is also undertaking a review of our Network Tariff Strategy. As part of this, Ergon Energy will be consulting with customers and other stakeholders on any future changes to network tariff structures.

6.13 Designated Pricing Proposal Charges Incurred for TUOS

6.13.1 Allocation

Clause 6.18.7(a) of the Rules requires Ergon Energy's Pricing Proposal to provide for tariffs designed to pass on to customers the designated pricing proposal charges to be incurred for TUOS services. This includes costs related to the payments of TUOS to Powerlink, Avoided TUOS payments to eligible EGs and payments to other DNSPs for the use of their network.

The allocation method is discussed in detail below.

²⁵ As noted in Section 6.7, this percentage is calculated through the side constraint formula set out in the AER's Final Distribution Determination.



Allocation of Powerlink Charges

Powerlink charges Ergon Energy at an aggregated level by Transmission Connection Point which means that Ergon Energy needs to devise a methodology to apportion the various components of the Powerlink charges to customers. Ergon Energy's network tariff calculation process passes through Powerlink charges as cost reflectively as possible. The TUOS charges charged to Ergon Energy by Powerlink at each Transmission Connection Point have five components:

- Connection Price (\$ per month);
- TUOS Locational Charge (demand component) (\$ per kW of Nominated Demand per month);
- TUOS Locational Charge (month average demand component) (\$ per kW of Average Demand per month);
- Customer TUOS General Energy Charge (cents per kWh on historical energy); and
- Customer TUOS Common Service Energy Charge (cents per kWh on historical energy).

These charges are apportioned by Ergon Energy to customers and/or customer groups on the basis of forecast ATMD with respect to connection price and usage capacity price and apportioned on the basis of historical and forecast energy for the remaining components.

For ICCs and CACs, Ergon Energy has a number of regional centres where a meshed distribution network sits below the transmission network. This means customers can be supplied from different connection points depending on switching arrangements. A weighted average methodology is applied for each of these locations so that all customers who are supplied via a regional meshed network have the same TUOS rates.

For SACs, there are a large number of locational TUOS rates which vary from region to region. The TUOS rates within each geographical region are combined in order to simplify and provide clear TUOS locational signals for these smaller customers.

Network Charges from Other DNSPs

In the Toowoomba area, Ergon Energy utilises network services from the other Queensland DNSP, Energex, to supply a small group of customers that cannot be economically supplied from the Ergon Energy distribution system. Energex bills Ergon Energy a network service charge for these network services. Additionally in the Mount Isa Zone, Ergon Energy is charged for the use of the unregulated 220kV network which supplies the Cloncurry township.

These costs are recovered by Ergon Energy as part of the TUOS charges passed through to customers.

Avoided TUOS Payments

Where Ergon Energy is liable for an Avoided TUOS payment to an EG, the payment amount is recovered by Ergon Energy as part of the TUOS charges passed through to customers at the same connection point as the EG.



6.13.2 Recovery

Clause 6.18.7(b) of the Rules requires that the amount to be passed on to customers for a particular regulatory year must not exceed the estimated amount of the designated pricing proposal (TUOS) charges for the relevant regulatory year adjusted for any over or under recovery.

Further, clause 6.18.7(c) of the Rules states that:

The over and under recovery amount must be calculated in a way that:

- (1) is consistent with the method determined by the AER in the relevant distribution determination for the Distribution Network Service Provider;*
- (2) ensures a Distribution Network Service Provider is able to recover from retail customers no more and no less than the designated pricing proposal charges it incurs; and*
- (3) adjusts for an appropriate cost of capital that is consistent with the allowed rate of return used in the relevant distribution determination for the relevant regulatory year.*

Appendix E of the AER's Final Distribution Determination sets out the requirements that Ergon Energy must comply with under clause 6.18.7 of the Rules.

Ergon Energy ensures that any difference between TUOS revenue recovered from customers and the actual TUOS and related costs paid by Ergon Energy is offset by an annual unders and overs process. Under these arrangements there is a two year lag between the year in which the under-recovery or over-recovery occurs and the year in which the adjustment to the expected TUOS revenue to be recovered is made.

During 2011–12 there was a \$5.81 million under-recovery of TUOS revenue (or \$6.99 million once indexed for WACC). In addition to the 2011–12 TUOS under-recovery, Ergon Energy has subsequently identified that our 2010–11 TUOS under-recovery was understated by \$0.85 million (or \$1.12 million once indexed for WACC). This was due to expenditure associated with the use of the unregulated 220kV network being inadvertently excluded from TUOS under/over calculations in our 2012–13 Pricing Proposal.

Consequently, Ergon Energy is proposing to increase the TUOS revenue to be recovered from customers in 2013–14 by \$8.11 million (2013–14 dollars). This amount recovers both the 2011–12 TUOS under-recovery, as well as the residual amount associated with Ergon Energy's 2010–11 TUOS under-recovery, which was not cleared in setting the 2012–13 (TUOS) prices.

Table 6.5 below satisfies the requirements of Appendix E of the AER's Final Distribution Determination and hence clause 6.18.7 of the Rules. Appendix 2 sets out the calculation of the TUOS unders and overs account.



Table 6.5: Calculation of TUOS Unders and Overs Account (\$'000)

	2011–12 Actual	2013–14 Forecast
Revenue from TUOS charges	\$296,021	\$339,839
Less under/over adjustment approved by the regulator for year t-2	(\$3,717)	n/a
Less total transmission related payments	\$305,545	\$331,732
Transmission charges to be paid to TNSPs	\$298,764	\$322,768
Avoided TUOS payment to EGs	\$3,229	\$4,214
Payment to Other DNSPs	\$3,552	\$4,749
Under/Over recovery for the regulatory year	(\$5,807)	\$8,108
TUOS Unders and Overs Account		
Nominal WACC – as determined by AER	9.72%	
Opening balance	\$0	(\$8,108)
Adjustment to opening balance to correct error in 2012–13 account	(\$1,018)	\$0
Interest on opening balance	(\$99)	n/a
Under/over recovery for regulatory year 2011–12	(\$5,807)	\$8,108
Interest on under/over recovery for regulatory year 2011–12	(\$1,184)	n/a
Closing Balance	(\$8,108)	(\$0)

7 Alternative Control Services

7.1 Tariff Classes

Ergon Energy's tariff classes for Alternative Control Services are differentiated at the highest level according to the AER's Classification of Services, namely:

- Fee Based Services;
- Quoted Services; and
- ACS – Street Lighting Services.

Fee Based Services are separated into two tariff classes based on the type of feeder to which a customer requesting the service is connected. Specifically, separate tariff classes have been established for Fee Based Services provided to customers connected to:

- Urban or Short Rural feeders; and
- Long Rural or Isolated feeders.

The consequent tariff classes under this approach are set out in Table 7.1 below, thus meeting the requirements of clause 6.18.2(b)(1) and clause 6.18.3(a) of the Rules. There are 6 tariff classes for Alternative Control Services.

Table 7.1: Ergon Energy's Alternative Control Service Tariff Classes

Tariff Class	Product Codes
ACS – Fee Based Services (urban/short rural)	DEENBHU, DEENBHS, REENBHU, REENBHS, REDDBHU, REDDBHS, REINSPU, REINSPS, SUPABOLU, SUPABOLS, TBSSPU, TBSSPS, TBSMPU, TBSMPS, SFRBHU, SFRBHS, WTVU, WTVS, WTVTU, WTVTS.
ACS – Fee Based Services (long rural/isolated)	DEENBHL, DEENBHI, REENBHL, REENBHI, REDDBHL, REDDBHI, REINSPL, REINSPI, SUPABOLL, SUPABOLI, TBSSPL, TBSSPI, TBSMPL, TBSMPI, SFRBHL, SFRBHI, WTVL, WTVI, WTVTL, WVTI.
ACS – Quoted Services	As Quoted; or AQMMBMR, AQPMCR, CHTARIFU, CHTARIFS, CHTARIFL, CHTARIFI, CHTSRAU, CHTSRAS, CHTSRAL, CHTSRAI, DEENAHU, DEENAHS, DEEN AHL, DEEN AHI, MOVEMTRU, MOVEMTRS, MOVEMTRL, MOVEMTRI, RMMTRU, RMMTRS, RMMTRL, RMMTRI, MTRCKRDU, MTRCKRDS, MTRCKRDL, MTRCKRDI, MTRTESTU, MTRTESTS, MTRTESTL, MTRTESTI, MTTSTCTU, MTTSTCTS, MTTSTCTL, MTTSTCTI, OHUU, OHUS, OHUL, OHUI, POASVU, POASVS, POASVL, POASVI, POATVU, POATVS, POATVL, POATVI, REENAHU, REEN AHS, REEN AHL, REEN AHI, REEN AHI, RMLDCRLU, RMLDCRLS, RMLDCRLL, RMLDCRLI, MTRREPU, MTRREPS, MTRREPL, MTRREPI, SPMTRRDU, SPMTRRDS, SPMTRRDL, SPMTRRDI, SFRAHU, SFRAHS, SFRAHL, SFRAHI.
ACS – Street Lighting Services – East	East – Major, East – Minor
ACS – Street Lighting Services – West	West – Major, West – Minor
ACS – Street Lighting Services – Mount Isa	Mount Isa – Major, Mount Isa – Minor

As indicated in Section 6.1 above, all of Ergon Energy's customers for Direct Control Services are a member of one or more tariff classes (thus meeting clause 6.18.3(b) of the Rules). This is because Alternative Control Services are a subset of Direct Control Services and all of Ergon Energy's customers are assigned to at least one network tariff and one Standard Control Service tariff class. Further, clause 6.18.3(c) is met by Ergon Energy distinguishing between the tariff classes for Standard Control Services and for Alternative Control Services.

Finally, clause 6.18.3(d) of the Rules requires that a tariff class be constituted with regard to the need to group customers together on an economically efficient basis, and the need to avoid unnecessary transactions costs. Tariffs for Alternative Control Services are grouped according to the classification and control mechanism determined by the AER in its Final Distribution Determination. Table 7.1 outlines the grouping based on the service provided and, for some services, the type of feeder to which a customer requesting the service is connected. The tariffs within each tariff class have been grouped together in a manner that is easy for customers and retailers to understand, which avoids unnecessary transaction costs.

7.2 Assignment and Reassignment of Customers to Tariff Classes

The regulatory obligations relating to the assignment and reassignment of customers to tariff classes are set out in Section 6.2 above. Ergon Energy's compliance with these requirements for Alternative Control Service tariff classes is outlined below.

7.2.1 Review of a Customer's Assigned Tariff Class

Assignment or reassignment of customers to Ergon Energy's Alternative Control Service tariff classes occurs as a result of:

- Large customers requesting a new connection to the network or an upgrade to their existing connection;
- Street lighting customers requesting installation of a new street light, or gifting a new street light to Ergon Energy;
- New service orders being raised as a result of a request for service by either a customer and/or retailer; and
- Requests for a review of the assigned tariff class by either a customer and/or retailer.

Ergon Energy notes that the tariffs for Alternative Control Services are allocated to tariff classes in accordance with the AER's Classification of Services as set out in Appendix A of the Final Distribution Determination. As such, customers essentially assign themselves to a tariff class by selecting the service that they require. Ergon Energy therefore considers we meet the requirements of clauses 6.18.4(a)(1), (2) and (3) of the Rules and Appendix B of the AER's Final Distribution Determination because the tariffs within each tariff class are provided to customers that have similar service requirements, without distinguishing between customers that have or do not have micro-generation facilities.

Ergon Energy's "Price List for Alternative Control Services" and the "Retailer Handbook" will set out which service belongs to each tariff class.

Similar to Standard Control Services, Ergon Energy does not reassign customers to tariff classes without careful review and adequate consideration. Ergon Energy uses the following range of criteria to assign new customers to a tariff class or to review the current assignment of customers to tariff classes for our Alternative Control Services:

- Fee Based Services – based on the:
 - o type of service requested by either a customer and/or retailer; and
 - o type of feeder to which the customer is connected (i.e. Urban, Short Rural, Long Rural or Isolated);
- Quoted Services – based on the:
 - o type of service requested by either a customer and/or retailer; and
- Street Lighting Services – based on the:
 - o type of service requested by either a customer and/or retailer; and
 - o customer's geographical location or pricing zone (i.e. East, West or Mount Isa).

7.2.2 Review of the Charging Basis

As the basis of charge and prices for these services is capped and/or developed using an approved formula, Ergon Energy also considers that the charging parameters of our Alternative Control Service tariffs do not vary according to the usage or load profile of a customer (as it does for Standard Control Services). Therefore, Ergon Energy considers that clause 6.18.4(b) does not apply to our Alternative Control Services. Consequently, Ergon Energy does not need to assess or review the basis (the approved formulae and price caps) on which a customer is charged for Alternative Control Services.

7.2.3 Notification of a Tariff Class Assignment and Reassignment

As noted above, customers and retailers essentially assign themselves to a tariff class by selecting the service that they require. Therefore, written notification of the tariff class is not provided by Ergon Energy to the customer or the retailer.

A customer or retailer may request further information relating to a particular tariff class assignment or reassignment decision by contacting Ergon Energy.

7.2.4 Objections to a Tariff Class Assignment or Reassignment

Similar to Standard Control Services, if a customer or retailer raises an objection to a tariff class assignment or reassignment for Alternative Control Services, the matter is reviewed and if required, escalated to the Manager Regulatory Determination and Pricing for reassessment. Following this internal review, if the matter is not resolved to the satisfaction of the customer, the customer is entitled to refer the matter to the AER for resolution via the dispute resolution process available under Part 10 of the Law.

The procedures a retailer or customer can follow if the customer objects to a proposed tariff class assignment or reassignment are set out in the publicly available "Price List for Alternative Control Services" and, for retailers, in the "Retailer Handbook".

At the time of preparing this Pricing Proposal Ergon Energy had not received any objections to a tariff class assignment or reassignment relating to Alternative Control Services that occurred during the 2012–13 year.

7.3 Fee Based and Quoted Services Formula Components

7.3.1 Changes in Individual Formula Components for Fee Based and Quoted Services

As set out in section 18.3.5 of the Final Distribution Determination, Ergon Energy is required to set out the nature and extent of any variation to an individual formula component, on-cost or overhead rate applicable in the previous regulatory year that is above the indicative prices for Quoted Services and Fee Based Services contained in the Final Distribution Determination. Where Ergon Energy varies a component, we must provide quantitative and qualitative information to support the variation.

Under the AER's Final Distribution Determination, Ergon Energy is able to recalculate escalators and overhead rates for each regulatory year. Changes to the nature of these components and quantitative information to support the calculation are set out below.

Labour Escalators

The labour escalators contained in the AER's Final Distribution Determination were amended in 2011–12 to reflect the Tribunal's Determination on Labour Cost Escalators made on 19 May 2011.

For the 2013–14 regulatory year, Ergon Energy has adjusted the nominal labour escalators by annual CPI data to March quarter 2013 as published by the ABS to develop prices for Fee Based Services and indicative prices for Quoted Services. Indicative prices for Fee Based and Quoted Services in the remaining regulatory year (i.e. 2014–15) are based on the nominal labour escalators in the Tribunal's Determination.

This approach is the same as that used by Ergon Energy in 2012–13, which was accepted by the AER.

Materials Escalators

Ergon Energy has adjusted the nominal materials escalators contained in the AER's Final Distribution Determination by annual CPI data to March quarter 2013 as published by the ABS to calculate indicative prices for Quoted Services in 2013–14. Indicative prices for Quoted Services in the remaining regulatory year (i.e. 2014–15) are based on nominal materials escalators as set out in the AER's Final Distribution Determination.

There are no materials used in the provision of Fee Based Services.

This approach is the same as that used by Ergon Energy in 2012–13, which was accepted by the AER.

Other Costs Escalators

Ergon Energy has used the Other Costs escalators applied in the Tribunal's Determination on Other Costs.

For the 2013–14 regulatory year, Ergon Energy has adjusted the Other Costs escalators by annual CPI data to March quarter 2013 as published by the ABS to calculate indicative prices

for Quoted Services. Indicative prices for Quoted Services in the remaining regulatory year (i.e. 2014–15) are based on nominal Other Costs escalators applied in the Tribunal's Determination on Other Costs.

Other Costs do not apply in the provision of Fee Based Services.

This approach is the same as that used by Ergon Energy in 2012–13, which was accepted by the AER.

Overhead Rates

Ergon Energy has recalculated our overhead rates. Consistent with our AER-approved Cost Allocation Method (CAM),²⁶ Ergon Energy uses the following methodology to calculate the overhead rate for our Fee Based and Quoted Services:

1. **Determine the total direct costs for each Line of Business (LOB) for the regulatory year.** At the start of the financial year, budget data is used to set costs expected to be directly attributable to business functions (LOB) within Ergon Energy in delivering our work plans. These costs include both capex and opex and are determined using an Activity Based Costing Method which maps and directly attributes expected costs of particular activities to categories of Services (distribution and unregulated) and LOB in the Chart of Accounts.
2. **Determine total shared costs (overheads) for the regulatory year.** Budget data is also used to set costs expected to relate to shared “support” services which cannot be directly attributable to a particular activity or work plan. For example, shared costs include costs associated with business units that provide corporate support services across the Ergon Energy Group (Corporate Overheads). Shared costs also include costs associated with support services provided within Ergon Energy's operational business units that have not been directly attributed (Operational Overheads). Operational Overheads predominantly represent labour and administration costs associated with (but not limited to) senior management, technical and operations support, including maintenance and construction standards, mapping, technical data records and field investigations and auditing.
3. **Allocation of total shared costs (overheads) between Ergon Energy Group districts.** Ergon Energy Corporation Limited as the parent entity of the Ergon Energy Group provides “support” services to a number of other districts (or legal entities). Once the districts and total shared costs for the regulatory year are determined, the costs are then allocated to each entity in the Ergon Energy Group using causal allocators in accordance with the CAM and in some instances using a commercial agreement between Ergon Energy and SPARQ Solutions Pty Ltd. The choice of allocator depends on the type of service provided. For example, where the shared costs are identified as relating solely to a legal entity within the Ergon Energy Group, costs are directly allocated to that entity. In other cases, the number of transactions undertaken or time spent in providing the service may be the driver to calculate the allocation of work and shared costs to each entity.

²⁶ Ergon Energy is currently reviewing our CAM in light of the Independent Review Panel's recommendations and in preparation for the next regulatory determination.

4. **Allocation of Shared Costs between Ergon Energy LOB.** The total shared costs that are allocated to Ergon Energy are then further allocated between LOB on the following basis:
 - *Corporate Overheads* – costs are allocated to each LOB based on the ratio of direct costs for the LOB. That is, the total direct costs for each LOB (as described in step 1) are summed, and the relevant percentage of the total direct costs is determined for each LOB. These percentages are then used to fully allocate the shared corporate costs across each LOB; and
 - *Operational Overheads* – costs are also allocated to LOB based on a ratio of direct costs. However, as some of the operational business units do not take part in some LOB, the shared cost percentage rates are ‘grossed up’ in order to fully allocate the costs over applicable LOB. That is, the direct cost percentages for each LOB that the business unit takes part in are summed, to determine a proportion of the total direct costs that are attributable to the business unit. The direct cost percentage for each LOB is then divided by the total proportion of direct costs for the business unit to determine a percentage to fully allocate the shared operational costs over each applicable LOB.
5. **Calculate the Overhead Rate for each LOB.** The total overhead rate for each LOB is then calculated by summing the total allocated shared costs for each LOB, and expressing this as a percentage of total costs for each LOB (i.e. total costs being the sum of direct costs and overhead costs for each LOB).
6. **Select appropriate Overhead Rate.** The overhead rate used by Ergon Energy for our Fee Based and Quoted Services is the calculated overhead rate for the LOB that represents the work undertaken and Activity in the provision of the particular service in the Chart of Accounts. For example:
 - The Large Customer Connection service is mapped to the ‘Connection Services Large’ Activity and attributed to the Regulated Capex LOB in the Chart of Accounts. This means the overhead rate used in the Quoted Services formula for Large Customer Connections will be the annual Regulated Capex overhead rate calculated by Ergon Energy in accordance with the CAM;
 - Street Lighting Service 1 (i.e. relating to provision of new street lighting assets) is mapped to the ‘Other Customer Requested Works’ and attributed to the Regulated Capex LOB in the Chart of Accounts. This means the overhead rate used in the Quoted Services formula to calculate the incremental cost difference between the provision of standard and non-standard street lighting assets will be the annual Regulated Capex overhead rate calculated by Ergon Energy in accordance with the CAM; and
 - All other Fee Based and Quoted Services are mapped to a range of activities attributed to the Customer Services LOB in the Chart of Accounts. This means the overhead rate used in the formula to calculate the tariffs to be levied for these Fee Based and Quoted Services will be the annual Customer Services overhead rate calculated by Ergon Energy in accordance with the CAM.

Ergon Energy’s 2013–14 overhead rate calculation is provided in Appendix 5.

7.3.2 Changes in Methodology Employed to Derive Formula Components

As set out in section 18.3.5 of the Final Distribution Determination, Ergon Energy is required to set out the nature and extent of any variation or adjustment to the methodology employed to derive a formula component escalator, on-cost or overhead rate.

Under the AER's Final Distribution Determination, Ergon Energy is able to recalculate Labour, Materials and Other Costs escalators, and overhead rates for each regulatory year. Ergon Energy confirms that we have not varied or adjusted the methodology employed to derive these components. Overhead rates are calculated in accordance with the AER-approved CAM.

7.4 Tariff Schedules

Clause 6.18.2(b)(2) of the Rules requires Ergon Energy to set out the proposed tariffs for each tariff class. Accordingly, the 2013–14 tariffs for Alternative Control Services are set out in Appendix 4.

7.5 Volume and Revenue for 2011–12

7.5.1 Fee Based and Quoted Services

As outlined in section 18.3.5 of the Final Distribution Determination, the AER requires Ergon Energy to set out the volume of Fee Based and Quoted Services provided and the revenues recovered from the provision of each individual Fee Based and Quoted Service in the preceding regulatory year.

Appendix 6 sets out the actual volumes and revenues for the Fee Based and Quoted Services provided by Ergon Energy in 2011–12.

7.5.2 ACS – Street Lighting Services

Section 17.3.3 of the AER's Final Distribution Determination requires Ergon Energy to provide information on the revenues collected from the provision of each ACS – Street Lighting Service in the preceding regulatory year.

Appendix 6 sets out the actual revenues for the ACS – Street Lighting Services provided by Ergon Energy in 2011–12.

7.6 Avoidable and Stand Alone Costs

As noted in Section 6.8, clause 6.18.5(a) of the Rules requires that for each tariff class, the revenue expected to be recovered lie on or between an upper bound representing the stand alone cost of serving the customers who belong to that class and a lower bound representing the avoidable cost of not serving those customers.

As per our interpretation of stand alone and avoidable costs in Section 6.8, Ergon Energy has set out below our approach to determining these costs for our Fee Based and Quoted Services, and ACS – Street Lighting Services.

7.6.1 Fee Based and Quoted Services

Ergon Energy provides our Alternative Control Services using a mix of shared and dedicated physical assets and labour. We price each of these services on a full cost recovery basis using the formula approved by the AER.

The use of a cost based formula for pricing implies that if there were only one Alternative Control Service tariff class provided by Ergon Energy, then total revenue for that tariff class would equal the total cost of serving that tariff class (where total cost incurred in the provision of the service for that tariff class includes the full cost of assets used by all Alternative Control Services). Given that Ergon Energy provides more than one Alternative Control Service tariff class, the allocation of shared assets such as depots and vehicles are shared between all Alternative Control Service tariff classes. This means that the revenue received from one Alternative Control Service tariff class will be less than the stand alone cost of that tariff class.

The avoidable cost of Alternative Control Services is the cost incurred in the delivery of the services to a tariff class if no services were provided to any other tariff class. The only avoided costs relating to Alternative Control Services are labour costs charged on an hourly basis and materials consumed during the course of providing the service. Given that the formula used to derive prices for Fee Based and Quoted Services includes a component of shared costs, the total revenue for tariff classes will exceed the avoidable portion.

Ergon Energy has not undertaken any quantitative analysis of our stand alone and avoidable costs for Alternative Control Services.

7.6.2 ACS – Street Lighting Services

The prices for ACS – Street Lighting Services have been developed by allocating the approved ARR to the East, West and Mount Isa Zones for ACS – Street Lighting Services. Given that Ergon Energy has proposed one street lighting tariff class for each of these zones, the revenue expected to be recovered from each tariff class will be equal to the allocation of the ARR for ACS – Street Lighting Services for that zone. It will not exceed the stand alone cost. The expected revenue therefore lies on the stand alone cost, and is compliant with clause 6.18.5(a)(1) of the Rules.

The avoidable cost for ACS – Street Lighting Services is equal to the cost which would be avoided by Ergon Energy not providing a particular tariff class of ACS – Street Lighting Services. For example, if Ergon Energy was to cease providing Street Lighting Services in our West Zone, we would avoid the allocated ARR for ACS – Street Lighting Services in that zone, comprising the ROA, depreciation and direct opex on street lighting assets. However, we would not avoid shared costs (overheads) which provide services to other Alternative Control Service tariff classes. The avoidable cost will therefore be less than the stand alone cost.

Given that expected revenue lies on the stand alone cost, and avoidable cost is less than the stand alone cost, the expected revenue complies with clause 6.18.5(a) of the Rules.

7.7 Long Run Marginal Cost, Transaction Costs and Response to Price Signals

The Rules require each tariff and, if it consists of two or more charging parameters, each charging parameter of a tariff class:

- To take into account the LRMC for the service or, in the case of a charging parameter, for the element of the service to which the charging parameter relates (clause 6.18.5(b)(1));
- To be developed having regard to transaction costs associated with the tariff or charging parameter (clause 6.18.5(b)(2)(i)); and
- To be developed having regard to whether customers of the relevant tariff class are able or likely to respond to price signals (clause 6.18.5(b)(2)(ii)).

Ergon Energy's tariffs for Fee Based Services, Quoted Services and ACS – Street Lighting Services comprise one charging parameter. Therefore, consistent with clause 6.18.5, Ergon Energy is not required to demonstrate compliance for individual charging parameters but rather just the individual tariffs. The tariff setting process outlined in Section 4 is largely determined through the control mechanism established by the AER in its Final Distribution Determination. Therefore, each tariff and the movement in tariffs between regulatory years are determined by the AER through the control mechanism applied. In establishing these controls, the AER has regard to both the National Electricity Objective and Revenue and Pricing Principles.

Under the formula based approach, customers are sent signals about the true cost of the service and are therefore able to determine if they require the service, and, for Quoted Services, whether a different variant may be preferable (e.g. customers can minimise the cost incurred for some services by choosing to have the service delivered during business hours, if applicable).

7.8 Expected Price Trends

7.8.1 Fee Based and Quoted Services

As discussed in Section 4.2, the AER has approved the formula to be used in calculating tariffs for Fee Based and Quoted Services. In its Final Distribution Determination, the AER stated that Ergon Energy is to recalculate labour and materials escalators and overhead rates each year. However, on-costs and the capital allowance remain fixed for the entire regulatory control period.

The current regulatory control period ends on 30 June 2015. As discussed in Section 7.3, Ergon Energy has recalculated overhead rates but applied the current approved escalators to calculate indicative prices for 2014–15. These indicative prices are set out in Appendix 4. Ergon Energy is able to recalculate labour, materials and Other Costs escalators each year. However, Ergon Energy will only consider re-calculating escalators if actual costs diverge from those expected at the time of the AER's Final Distribution Determination. Overheads will be calculated in accordance with the AER-approved CAM each year which may result in different prices from those set out in Appendix 4.

7.8.2 ACS – Street Lighting Services

In its Final Distribution Determination, the AER set prices for ACS – Street Lighting Services for 2010–11 and price paths for each remaining year of the regulatory control period. The prices for the 2011–12 to 2014–15 regulatory years were subsequently amended following the Determination of the Tribunal. The prices for 2013–14 and 2014–15 are set out in Appendix 4.

7.9 Procurement Processes and Procedures for Quoted Services

On 19 May 2011, the Tribunal varied the AER's Final Distribution Determination to allow Ergon Energy to charge customers other one-off costs we incur relating to the delivery of a Quoted Service. As part of this decision, the Tribunal specified that Ergon Energy must report on any departures from our procurement processes and procedures in delivering Quoted Services that include Other Costs, as part of our Annual Pricing Proposal to the AER.

Ergon Energy provided detailed explanations of our procurement process and procedures to the AER as part of the Tribunal review process in 2010. In 2012, Ergon Energy carried out a review of our procurement processes and procedures. Following this review, Ergon Energy amended one of the monetary caps applying to the procurement of goods and services. Previously a tender must be undertaken when the procurement was greater than \$200,000. This monetary cap has increased to \$250,000.



8 Other Compliance Obligations

8.1 Tariff Adjustment to Address Revenue Shortfalls

Clause 6.18.5(c) of the Rules provides that if, as a result of the operation of clause 6.18.5(b), Ergon Energy may not recover the expected revenue, tariffs will be adjusted in accordance with clause 6.18.5(c) of the Rules, so as to ensure recovery of expected revenue with minimum distortion to efficient patterns of consumption.

Ergon Energy does not need to apply this clause of the Rules in 2013–14 as the operation of clause 6.18.5(b) does not impact on Ergon Energy's ability to recover the expected revenue.

8.2 Adjustments to Tariffs within a Regulatory Year

Clause 6.18.2(b)(5) of the Rules requires that a Pricing Proposal set out the nature of any variation or adjustment to the tariff that could occur during the course of the regulatory year and the basis on which it could occur.

Variations or adjustments to tariffs will occur where an ICC, CAC or EG customer advises Ergon Energy that they intend to alter their demand or connection characteristics during 2013–14. In this case, Ergon Energy would recalculate the charging parameters of the tariff. New tariffs will be created for each ICC, CAC or EG customer that connects during 2013–14, in line with the methodology set out in this Pricing Proposal.

In circumstances where Ergon Energy makes changes to methodologies during a regulatory year, Ergon Energy will not recalculate the charging parameters of a tariff to give effect to the change. The tariff that has been calculated to apply to customers in accordance with methodologies in this Pricing Proposal will continue to be applied, unless Ergon Energy obtains approval from the AER to adjust the tariffs during the course of the regulatory year to reflect the new methodologies.

At the time of preparing this Pricing Proposal, the outcomes of the Queensland Electricity Sector Reform are not known. Accordingly, Ergon Energy may also need to adjust tariffs during the 2013–14 regulatory year as a result of the Queensland Electricity Sector Reform as discussed in Section 2.2.2 above. If this occurs, Ergon Energy will inform the AER.

There are no other variations or adjustments proposed to be made to remaining tariffs during the course of the next regulatory year.²⁷

8.3 Changes between Regulatory Years

Clause 6.18.2(b)(8) of the Rules requires that a Pricing Proposal must describe the nature and extent of change from the previous regulatory year and demonstrate that the changes comply with the Rules and any applicable Distribution Determination.

There are no fundamental changes proposed to tariff classes, tariffs and tariff setting processes for Standard Control Services or Alternative Control Services for 2013–14 in

²⁷ The exception being the maximum price caps under Schedule 8 of the *Electricity Regulation 2006* discussed in Section 4.3 of this Pricing Proposal.

comparison to those already approved by the AER as being compliant with the Rules and the Final Distribution Determination in the 2012–13 regulatory year.

8.4 Forecasting Methodology

Clause 6.18.8(a)(2) of the Rules requires that the AER must approve the Pricing Proposal if it is satisfied that all forecasts associated with the proposal are reasonable.

This section demonstrates how Ergon Energy considers that the forecasts used for pricing purposes are reasonable, having specific regard for the development of energy consumption, energy demand, customer numbers and TUOS payments forecasts.

Ergon Energy annually prepares a one year forecast of customer numbers and energy consumption for preparation of our Pricing Proposal. These forecasts are prepared in two phases, with the first phase generally prepared in November and December of each year to provide an initial forecast; and the second phase typically conducted in February and March of each year to refine the forecasts based on the most up to date information available prior to preparation of the annual Pricing Proposal. In conjunction with this process, individual demands for the ICC, CAC and EG customers are also reviewed.

Both forecast phases have been completed and the refined forecasts used for developing the prices are set out in Appendix 2 of this Pricing Proposal.

The methodology used to forecast customer numbers, energy consumption and load for the purposes of developing the tariffs set out in this Pricing Proposal is the same as that used by Ergon Energy throughout the 2005–2010 regulatory control period and the previous regulatory year (2012–13). The forecasts developed by this methodology in the 2012–13 regulatory year were accepted by the AER.

Ergon Energy's Regulatory Determination and Pricing section undertakes its projection of energy throughput based on the customer groupings (i.e. ICC, CAC, SAC and EG). The forecast for EGs is the amount of energy generated into Ergon Energy's distribution system. For all other customer groups, it is energy consumption that is being forecast.

The annual projections for energy for all customer groups are based on extrapolations of historical data, with adjustments made for known additions and losses of load. Forecasts are compared to reports provided by external consultants and to publicly available projections of population growth. Similarly, customer number forecasts are based on extrapolations of historical data and are compared to publicly available projections of population growth.

The projected load for ICC, CAC and EG customers who have Connection and Access Agreements is based on their contracted demand, or if no agreement is in place, their forecast demand is based on extrapolations of historical data, with adjustments made for known additions and losses of load. Similarly, the demand at each Transmission Connection Point is forecast and provided to Powerlink for use in the setting of their TUOS prices. Demand is not measured or forecast for the SAC customer grouping but sub-group demands are calculated using appropriate Load Factors which are then used as allocators in the Pricing Model.

Annual TUOS payments are made to Powerlink, other DNSPs, and EGs for Avoided TUOS. The forecast of annual TUOS payments to Powerlink is based on TUOS prices provided by Powerlink in March each year. Forecast energy and demand is applied to the TUOS prices to give forecast TUOS payments for each Transmission Connection Point. Similarly, forecast



TUOS payments to other DNSPs are based on rates provided by the DNSP and forecast energy and demand applicable to that supply. Forecast Avoided TUOS payments are based on the relevant EG's forecast export used within the Ergon Energy distribution network and the relevant Transmission locational energy charge.

In approving Ergon Energy's 2012–13 Pricing Proposal the AER accepted Ergon Energy's forecasts as reasonable. Ergon Energy has not departed from this forecasting methodology in developing prices for the 2013–14 regulatory year.

Appendix 1: Table of Network Tariffs for Standard Control Services

Standard Control Services network tariffs for SACs are set out below. Site specific network tariffs for ICCs, CACs and EGs are provided in Appendix 2.

This Appendix meets the following requirements of the Rules:

- Clause 6.18.2(b)(2) which requires Ergon Energy to set out the proposed tariffs for each tariff class;
- Clause 6.18.2(b)(3) which requires Ergon Energy to set out, for each proposed tariff, the charging parameters and the elements of service to which each charging parameter relates; and
- Clause 6.18.9(a)(2) which requires Ergon Energy to maintain on our website for each tariff, the charging parameters and the elements of the service to which each charging parameter relates.

TARIFFS APPLYING TO STANDARD ASSET CUSTOMERS – LARGE (>100 MWh per annum)
GST Exclusive

Tariff Description	Network Tariff Code	Minimum Chargeable Demand	Default Distribution Loss Factor		Distribution Use Of System (DUOS)			Transmission Use Of System (TUOS)		
					Fixed Charge (NDFC)	Actual Demand Charge (NDADC)	Volume Charge (NDVC)	Fixed Charge (NTFC)	Capacity Charge (NTCC)	Volume Charge (NTVC)
		kilowatts	Value	Code	dollars per day	dollars per kilowatt per month	dollars per kilowatt hour	dollars per day	dollars per kilowatt per month	dollars per kilowatt hour
Demand High Voltage	EDHT1	400	1.033	GEHL	\$19.210	\$20.136	\$0.00485	\$3.852	\$0.973	\$0.01348
	EDHT2	400	1.033	GEHL	\$19.210	\$20.136	\$0.00485	\$3.185	\$2.063	\$0.01558
	EDHT3	400	1.033	GEHL	\$19.210	\$20.136	\$0.00485	\$3.128	\$4.498	\$0.01951
	WDHT1	400	1.132	GWHL	\$27.448	\$52.036	\$0.01302	\$3.852	\$0.973	\$0.01348
	WDHT2	400	1.132	GWHL	\$27.448	\$52.036	\$0.01302	\$3.185	\$2.063	\$0.01558
	WDHT3	400	1.132	GWHL	\$27.448	\$52.036	\$0.01302	\$3.128	\$4.498	\$0.01951
	MIDH	400	1.036	GMHL	POA	POA	POA	\$2.414	\$0.477	\$0.00046
Demand Large	EDLT1	400	1.078	GELL	\$32.575	\$25.443	\$0.00485	\$3.852	\$0.973	\$0.01348
	EDLT2	400	1.078	GELL	\$32.575	\$25.443	\$0.00485	\$3.185	\$2.063	\$0.01558
	EDLT3	400	1.078	GELL	\$32.575	\$25.443	\$0.00485	\$3.128	\$4.498	\$0.01951
	WDLT1	400	1.184	GWLL	\$42.812	\$83.046	\$0.01302	\$3.852	\$0.973	\$0.01348
	WDLT2	400	1.184	GWLL	\$42.812	\$83.046	\$0.01302	\$3.185	\$2.063	\$0.01558
	WDLT3	400	1.184	GWLL	\$42.812	\$83.046	\$0.01302	\$3.128	\$4.498	\$0.01951
	MIDL	400	1.087	GMLL	\$27.670	\$15.925	\$0.00436	\$2.414	\$0.477	\$0.00046
Demand Medium	EDMT1	120	1.078	GELL	\$18.502	\$26.513	\$0.00485	\$3.852	\$0.973	\$0.01348
	EDMT2	120	1.078	GELL	\$18.502	\$26.513	\$0.00485	\$3.185	\$2.063	\$0.01558
	EDMT3	120	1.078	GELL	\$18.502	\$26.513	\$0.00485	\$3.128	\$4.498	\$0.01951
	WDMT1	120	1.184	GWLL	\$22.114	\$84.620	\$0.01302	\$3.852	\$0.973	\$0.01348
	WDMT2	120	1.184	GWLL	\$22.114	\$84.620	\$0.01302	\$3.185	\$2.063	\$0.01558
	WDMT3	120	1.184	GWLL	\$22.114	\$84.620	\$0.01302	\$3.128	\$4.498	\$0.01951
	MIDM	120	1.087	GMLL	\$17.357	\$16.709	\$0.00436	\$2.414	\$0.477	\$0.00046
Demand Small	EDST1	30	1.078	GELL	\$1.974	\$30.709	\$0.00485	\$3.852	\$0.973	\$0.01348
	EDST2	30	1.078	GELL	\$1.974	\$30.709	\$0.00485	\$3.185	\$2.063	\$0.01558
	EDST3	30	1.078	GELL	\$1.974	\$30.709	\$0.00485	\$3.128	\$4.498	\$0.01951
	WDST1	30	1.184	GWLL	\$3.540	\$89.329	\$0.01302	\$3.852	\$0.973	\$0.01348
	WDST2	30	1.184	GWLL	\$3.540	\$89.329	\$0.01302	\$3.185	\$2.063	\$0.01558
	WDST3	30	1.184	GWLL	\$3.540	\$89.329	\$0.01302	\$3.128	\$4.498	\$0.01951
	MIDS	30	1.087	GMLL	\$2.007	\$20.604	\$0.00436	\$2.414	\$0.477	\$0.00046

TARIFFS APPLYING TO STANDARD ASSET CUSTOMERS – SMALL (<100 MWh per annum)
GST Exclusive

Tariff Description	Network Tariff Code	Minimum Chargeable Demand	Default Distribution Loss Factor		Distribution Use Of System (DUOS)			Transmission Use Of System (TUOS)		
					Fixed Charge (NDFC)	Actual Demand Charge (NDADC)	Volume Charge (NDVC)	Fixed Charge (NTFC)	Capacity Charge (NTCC)	Volume Charge (NTVC)
		kilowatts	Value	Code	dollars per day	dollars per kilowatt per month	dollars per kilowatt hour	dollars per day	dollars per kilowatt per month	dollars per kilowatt hour
Volume Large	EVLT1		1.078	GELL	\$0.983		\$0.13381	\$0.137		\$0.01348
	EVLT2		1.078	GELL	\$0.983		\$0.13381	\$0.222		\$0.01558
	EVLT3		1.078	GELL	\$0.983		\$0.13381	\$0.339		\$0.01951
	WVLT1		1.184	GWLL	\$1.677		\$0.37639	\$0.137		\$0.01348
	WVLT2		1.184	GWLL	\$1.677		\$0.37639	\$0.222		\$0.01558
	WVLT3		1.184	GWLL	\$1.677		\$0.37639	\$0.339		\$0.01951
	MIVL		1.087	GMLL	\$0.984		\$0.07959	\$0.113		\$0.00046
Volume Small	EVST1		1.078	GELL	\$0.983		\$0.13462	\$0.137		\$0.01348
	EVST2		1.078	GELL	\$0.983		\$0.13462	\$0.222		\$0.01558
	EVST3		1.078	GELL	\$0.983		\$0.13462	\$0.339		\$0.01951
	WVST1		1.184	GWLL	\$1.677		\$0.37831	\$0.137		\$0.01348
	WVST2		1.184	GWLL	\$1.677		\$0.37831	\$0.222		\$0.01558
	WVST3		1.184	GWLL	\$1.677		\$0.37831	\$0.339		\$0.01951
	MIVS		1.087	GMLL	\$0.984		\$0.08217	\$0.113		\$0.00046
Volume Night Controlled	EVNT1		1.078	GELL	\$0.102		\$0.00323			\$0.01348
	EVNT2		1.078	GELL	\$0.102		\$0.00323			\$0.01558
	EVNT3		1.078	GELL	\$0.102		\$0.00323			\$0.01951
	WVNT1		1.184	GWLL	\$0.120		\$0.00980			\$0.01348
	WVNT2		1.184	GWLL	\$0.120		\$0.00980			\$0.01558
	WVNT3		1.184	GWLL	\$0.120		\$0.00980			\$0.01951
	MIVN		1.087	GMLL	\$0.130		\$0.00300			\$0.00046
Volume Controlled	EVCT1		1.078	GELL	\$0.102		\$0.02862			\$0.01348
	EVCT2		1.078	GELL	\$0.102		\$0.02862			\$0.01558
	EVCT3		1.078	GELL	\$0.102		\$0.02862			\$0.01951
	WVCT1		1.184	GWLL	\$0.120		\$0.08203			\$0.01348
	WVCT2		1.184	GWLL	\$0.120		\$0.08203			\$0.01558
	WVCT3		1.184	GWLL	\$0.120		\$0.08203			\$0.01951
	MIVC		1.087	GMLL	\$0.130		\$0.01139			\$0.00046

TARIFFS APPLYING TO STANDARD ASSET CUSTOMERS – UNMETERED										
GST Exclusive										
Tariff Description	Network Tariff Code	Minimum Chargeable Demand	Default Distribution Loss Factor		Distribution Use Of System (DUOS)			Transmission Use Of System (TUOS)		
					Fixed Charge (NDFC)	Actual Demand Charge (NDADC)	Volume Charge (NDVC)	Fixed Charge (NTFC)	Capacity Charge (NTCC)	Volume Charge (NTVC)
		kilowatts	Value	Code	dollars per day	dollars per kilowatt per month	dollars per kilowatt hour	dollars per day	dollars per kilowatt per month	dollars per kilowatt hour
Unmetered Supply	EVUT1		1.078	GELL	\$0.006		\$0.22007			\$0.01348
	EVUT1MI		1.078	GELL	\$0.006		\$0.22007			\$0.01348
	EVUT1MA		1.078	GELL	\$0.006		\$0.22007			\$0.01348
	EVUT2		1.078	GELL	\$0.006		\$0.22007			\$0.01558
	EVUT2MI		1.078	GELL	\$0.006		\$0.22007			\$0.01558
	EVUT2MA		1.078	GELL	\$0.006		\$0.22007			\$0.01558
	EVUT3		1.078	GELL	\$0.006		\$0.22007			\$0.01951
	EVUT3MI		1.078	GELL	\$0.006		\$0.22007			\$0.01951
	EVUT3MA		1.078	GELL	\$0.006		\$0.22007			\$0.01951
	WVUT1		1.184	GWLL	\$0.247		\$0.25730			\$0.01348
	WVUT1MI		1.184	GWLL	\$0.247		\$0.25730			\$0.01348
	WVUT1MA		1.184	GWLL	\$0.247		\$0.25730			\$0.01348
	WVUT2		1.184	GWLL	\$0.247		\$0.25730			\$0.01558
	WVUT2MI		1.184	GWLL	\$0.247		\$0.25730			\$0.01558
	WVUT2MA		1.184	GWLL	\$0.247		\$0.25730			\$0.01558
	WVUT3		1.184	GWLL	\$0.247		\$0.25730			\$0.01951
	WVUT3MI		1.184	GWLL	\$0.247		\$0.25730			\$0.01951
	WVUT3MA		1.184	GWLL	\$0.247		\$0.25730			\$0.01951
	MIVU		1.087	GMLL	\$0.208		\$0.03004			\$0.00046
	MIVUMI		1.087	GMLL	\$0.208		\$0.03004			\$0.00046
	MIVUMA		1.087	GMLL	\$0.208		\$0.03004			\$0.00046

Appendix 2: Standard Control Services Pricing Model

This confidential model provides the following information for the AER's consideration:

- Calculation of the unders and overs accounts for DUOS and TUOS;
- Demonstration of how Ergon Energy meets the side constraints test under clause 6.18.6 of the Rules;
- Demonstration of how Ergon Energy meets the tests for stand alone and avoidable cost under clause 6.18.5 of the Rules; and
- The network tariff rates for 2013–14 and associated revenues and reconciliation.

Appendix 3: Forecast Weighted Average Revenue

This Appendix sets out the forecast weighted average revenue for each Standard Control Service tariff class.

Table A3.1: Weighted Average Revenue (GST Exclusive)

Tariff Class	2012–13	2013–14
Individually Calculated Customer (Pre 30 June 2010) – East	\$36,566,727	\$41,077,528
Individually Calculated Customer (Pre 30 June 2010) – West	\$13,376,777	\$15,657,776
Individually Calculated Customer (Pre 30 June 2010) – Mount Isa	\$0	\$0
Individually Calculated Customer (Post 30 June 2010) – East	\$1,172,184	\$1,196,765
Individually Calculated Customer (Post 30 June 2010) – West	\$0	\$0
Individually Calculated Customer (Post 30 June 2010) – Mount Isa	\$0	\$0
Connection Asset Customers (Pre 30 June 2010) – East	\$71,505,760	\$85,641,461
Connection Asset Customers (Pre 30 June 2010) – West	\$10,792,732	\$11,603,855
Connection Asset Customers (Pre 30 June 2010) – Mount Isa	\$0	\$0
Connection Asset Customers (Post 30 June 2010) – East	\$380,028	\$463,531
Connection Asset Customers (Post 30 June 2010) – West	\$0	\$0
Connection Asset Customers (Post 30 June 2010) – Mount Isa	\$0	\$0
Embedded Generation (Pre 30 June 2010) – East	\$3,149,447	\$3,650,824
Embedded Generation (Pre 30 June 2010) – West	\$220,801	\$256,038
Embedded Generation (Pre 30 June 2010) – Mount Isa	\$0	\$0
Embedded Generation (Post 30 June 2010) – East	\$14,796	\$16,494
Embedded Generation (Post 30 June 2010) – West	\$0	\$0
Embedded Generation (Post 30 June 2010) – Mount Isa	\$0	\$0
Standard Asset Customer – Large (>100 MWh p.a.) – East	\$257,595,734	\$302,302,561
Standard Asset Customer – Large (>100 MWh p.a.) – West	\$67,420,541	\$78,050,769
Standard Asset Customer – Large (>100 MWh p.a.) – Mount Isa	\$4,407,189	\$5,002,678
Standard Asset Customer – Small (<100 MWh p.a.) – East	\$699,409,414	\$792,940,635
Standard Asset Customer – Small (<100 MWh p.a.) – West	\$190,497,220	\$218,772,898
Standard Asset Customer – Small (<100 MWh p.a.) – Mount Isa	\$11,543,382	\$12,605,900
Standard Asset Customer – Unmetered – East	\$19,458,972	\$20,085,055
Standard Asset Customer – Unmetered – West	\$2,620,507	\$2,799,413
Standard Asset Customer – Unmetered – Mount Isa	\$272,349	\$312,954

Appendix 4: Alternative Control Services Tariffs and Expected Price Trends

This Appendix sets out the tariffs applicable to Alternative Control Services in 2013–14.

As discussed in Section 7.8, Ergon Energy is also required to provide a statement of expected price trends. Accordingly, this Appendix sets out indicative prices for Fee Based and Quoted Services and actual prices for ACS – Street Lighting Services for 2014–15. The indicative prices for Fee Based and Quoted Services will be recalculated each year to reflect revised labour and materials escalators and overhead rates.

All prices in this Appendix are GST Exclusive.

Fee Based Services

Table A4.1: Fee Based Services Prices

Service	2013–14 GST Exclusive	2014–15 GST Exclusive [#]
Subdivision Fees	\$894.63	\$942.25
Project Fees	\$894.63	\$942.25
De-energisation during business hours - urban/short rural feeders	\$95.35	\$100.42
De-energisation during business hours - long rural / isolated feeders	\$552.66	\$582.09
Re-energisation during business hours - urban/short rural feeders	\$75.82	\$79.85
Re-energisation during business hours - long rural / isolated feeders	\$515.08	\$542.51
Re-test at customer's installation during business hours - urban/short rural feeders	\$331.59	\$349.26
Re-test at customer's installation during business hours - long rural / isolated feeders	\$663.19	\$698.51
Supply Abolishment during business hours - urban/short rural feeders	\$331.59	\$349.26
Supply Abolishment during business hours - long rural / isolated feeders	\$663.19	\$698.51
Temporary Builders Supply, not in permanent position- single phase metered - business hours - urban/short rural feeders	\$552.66	\$582.09
Temporary Builders Supply, not in permanent position- single phase metered - business hours - long rural / isolated feeders	\$884.25	\$931.35
Temporary Builders Supply not in permanent position – multi phase metered - business hours - urban/short rural feeders	\$552.66	\$582.09
Temporary Builders Supply not in permanent position – multi phase metered - business hours - long rural / isolated feeders	\$884.25	\$931.35
Restoration of supply required due to customer action, during business hours - urban/short rural feeders	\$331.59	\$349.26
Restoration of supply required due to customer action, during business hours - long rural / isolated feeders	\$663.19	\$698.51

Service	2013–14 GST Exclusive	2014–15 GST Exclusive [#]
Wasted truck visit - one person crew - urban/short rural feeders	\$52.22	\$55.00
Wasted truck visit - one person crew - long rural / isolated feeders	\$208.90	\$220.00
Wasted truck visit - two person crew - urban/short rural feeders	\$109.66	\$115.50
Wasted truck visit - two person crew - long rural / isolated feeders	\$438.65	\$461.98

[#] Indicative only

Quoted Services

In relation to each Quoted Service, it is important to note that the prices set out are examples of potential prices for Quoted Services. This is because the actual prices for Quoted Services will be determined at the time of the customer's enquiry and will reflect the actual requirements of the service.

Table A4.2: Quoted Services Prices

Service	2013–14 GST Exclusive	2014–15 GST Exclusive [#]
Removal / Relocation of Ergon Energy assets at customer request	\$29,748.37	\$31,188.49
Move point of attachment at customer's request	\$663.19	\$698.51
Tiger tails	\$344.63	\$362.97
Metering Data Provider services	\$151.43	\$159.46
Metering Data Provider services above minimum requirements	\$410.81	\$432.62
Meter test	\$442.13	\$465.67
Change tariff	\$229.75	\$241.98
Change time switch	\$114.88	\$120.99
Removal of meter	\$221.06	\$232.84
Removal of load control device	\$221.06	\$232.84
Special meter read	\$55.36	\$58.30
Reprogram card meters	\$344.63	\$362.97
Exchange meter	\$331.59	\$349.26
Move meter	\$331.59	\$349.26
Provision of connection services above minimum requirements	\$729.65	\$766.57
Overhead service upgrade	\$552.66	\$582.09
Underground service upgrade	\$4,037.76	\$4,236.37
Provision, installation and maintenance of meters beyond minimum requirements at customer request	\$712.73	\$748.28
Prepayment meters at customer request	\$1,029.08	\$1,081.57
Temporary de-energisation and re-energisation	\$331.59	\$349.26
De-energisation after hours	\$237.42	\$250.06

Service	2013–14 GST Exclusive	2014–15 GST Exclusive [#]
Re-energisation after hours	\$188.79	\$198.84
Attend loss of supply - not DNSP fault (after hours)	\$429.07	\$451.92
Emergency Recoverable works	\$1,102.42	\$1,161.14
Subdivision Fees	\$1,538.58	\$1,620.65
Project Fees	\$591.76	\$623.33
High Load Escort - lifting of lines	\$7,352.09	\$7,743.37
Rectification of illegal connections	\$574.38	\$604.95
Conversion of aerial bundled cables	\$683.39	\$718.80
Provision of service crew / additional crew	\$287.19	\$302.48
Large Customer Connection – example 1	\$173,370.11	\$181,914.54
Large Customer Connection – example 2	\$10,316,642.76	\$10,804,118.01
Large Customer Connection – example 3	\$11,209,977.89	\$11,741,230.68

[#] Indicative only

ACS – Street Lighting Services

Table A4.3: ACS – Street Lighting Prices

Street Lighting Charges	2013–14 Fixed Charge (\$/day/light) GST Exclusive	2014–15 Fixed Charge (\$/day/light) GST Exclusive
East – Major	0.97	0.97
East – Minor	0.58	0.58
West – Major	0.97	0.97
West – Minor	0.58	0.58
Mount Isa – Major	0.97	0.97
Mount Isa – Minor	0.58	0.58



Appendix 5: Alternative Control Services Pricing Models

These confidential models provide quantitative information to demonstrate the calculation of Fee Based and Quoted Services.



Appendix 6: Alternative Control Services Reporting

This confidential appendix sets out the volume and revenue Ergon Energy is required to report to the AER on our Fee Based and Quoted Services and ACS – Street Lighting Services, in accordance with the requirements set out in the AER's Final Distribution Determination.



Appendix 7: Proposed Plan to Clear DUOS Under-recoveries

This confidential appendix discusses how Ergon Energy proposes to clear the balance of our DUOS unders and overs account associated with the 2011-12 regulatory year in accordance with section 4.4.2 of the AER's Final Distribution Determination.

Appendix 8: Development of Network Tariffs for Standard Control Services

The development of Ergon Energy's network tariffs for Standard Control Services involves seven steps:

1. The establishment of zones where customers have similar cost of supply (where cross-subsidisation between the higher cost western network and the lower cost eastern network is minimised);
2. The allocation of the ARR to zones;
3. The allocation of the zonal costs to the different asset categories within each zone;
4. The identification of network users of similar size or similar use of assets and their assignment to various network user groups;
5. The allocation of the costs within the zones to the network user groups;
6. The conversion of these allocated costs into network tariffs that recover those costs and are economically efficient; and
7. The allocation of TUOS to customers so as to preserve, where possible, the transmission pricing signals.

The network tariffs developed by Ergon Energy are cost reflective in that there is a direct relationship between the network tariff for the service and the costs of delivering that service, derived through the methodology described in this Appendix.

Step 1: Zone Determination

The first step of the overall network tariff development process is to determine the number and extent of the cost zones to be used for establishing network tariffs in the most efficient and cost reflective way.

The determination of zones is based on a combination of:

- A comparison of the distances the customers are from a Transmission Connection Point – the further from the connection point the more distribution assets required;
- Minimising cross-subsidisation between the higher cost, less populated western networks, and the lower cost, more heavily populated eastern networks – the further the distance and lower the population density, the more expensive the assets and higher the cost to supply;
- Identifying those geographic areas which have a similar cost to supply – remote areas of western and far northern Queensland compared with the higher density eastern areas;
- Simplicity for customers and retailers to understand; and
- Identifying a logical "break point" in the electrical supply network – open points in the distribution system that separate different areas of supply.

Three pricing zones have been delineated in the Ergon Energy area of supply, broadly based on Queensland's LGAs, with the distribution network electrical connection being the final determinant of which zone applies. Zone pricing impacts DUOS prices only; TUOS prices are not impacted by zones.



The three pricing zones are:

- East Zone;
- West Zone; and
- Mount Isa Zone.

Note – areas supplied from isolated (remote) generation are not included in any of the above zones.

The LGAs covered by each zone are detailed in Figure 3.2 of this Pricing Proposal.

Step 2: Allocation of the ARR to Zones

The second step in the network tariff development process is to allocate the ARR to each of the three zones. The ARR comprises the building block components:

- ROA;
- Depreciation;
- Opex; and
- Tax allowance;

together with revenue adjustments resulting from the AER's smoothing of the ARR, adjustments made for out-turn inflation, unders and overs in DUOS, shared assets and capital contributions, and adjustments for STPIS and pass through amounts.

Tax allowance and revenue cap adjustments (except for capital contributions) are pro-rated across the building block cost components of ROA, depreciation and opex based on each building block's share of the total ARR. Capital contributions adjustments are allocated directly to the SAC tariff classes to which they are generally attributable.

The final composite building block cost components are allocated to each of the three zones by apportioning each component using the following cost drivers:

- Opex – allocated on asset values, customer numbers and energy usage;
- ROA – allocated on asset values; and
- Depreciation – allocated on asset values.

Where networks in the West Zone are supplied by shared network systems in the East Zone, the appropriate allocators are used to apportion a share of the cost to both zones.

Step 3: Allocation of the Zonal Costs to Asset Categories

The third step of the network tariff development process is to apportion the zone costs to the different asset categories within each zone. This occurs within Ergon Energy's tariff development model, the DCOS Model.

The asset categories are:

- Network Operation Assets – system assets associated with monitoring and controlling the distribution network from the operational control centres;
- Network Distribution Assets – system assets employed in the provision of network connection and distribution services. These assets are further categorised by voltage level as follows:
 - o 110/132 kV;

- o 66 kV Bus;
- o 66 kV Line;
- o 33 kV Bus;
- o 33 kV Line;
- o 22/11 kV Bus;
- o 22/11 kV Line;
- o Low Voltage;
- o Services (Low Voltage only); and
- o Meters & Relays; and
- Other Assets – non-system assets (e.g. vehicles, computers, and buildings etc.).

The building block costs by zone are then allocated to the asset categories in the manner described in Table A8.1 below.

Table A8.1: Subdivision of Cost Components

Operating Expenditure	
<i>Network Operating Costs</i>	• Associated with monitoring and controlling the distribution network from the operational control centres; • Not directly related to any single customer or group of customers; • Allocated directly to the customers based on energy usage; and • Not applicable to embedded generators.
<i>Network Maintenance Costs</i>	• Associated with the repair and maintenance of the distribution network within the categories Preventive, Corrective and Forced Maintenance; and • Allocated to the voltage level asset categories based on asset values.
<i>Other Asset Operating Costs</i>	• The summation of the non-system based costs (e.g. corporate shared costs (overheads), customer services, computer systems and human resources etc.); • Treated as a group as it is impractical to manage a cost allocation process for each of the specific components; and • Allocated directly to the network users based on hybrid allocation of network user numbers and energy usage, and applied to all network users.
Return on Assets (ROA)	
<i>Network Operation Assets ROA</i>	• Allocated to the network operations asset categories on the basis of asset values.
<i>Network Distribution Assets ROA</i>	• Allocated to the voltage level asset categories on the basis of asset values.
<i>Other Assets ROA</i>	• Allocated to the other asset categories on the basis of asset values.
Depreciation	
<i>Network Operation Assets Depreciation</i>	• Allocated to the network operation asset categories on the basis of asset values.
<i>Network Distribution Assets Depreciation</i>	• Allocated to the voltage level asset categories on the basis of asset values.
<i>Other Assets Depreciation</i>	• Allocated to the other asset categories on the basis of asset values.

Step 4: Determination of Groups of Network Users

In this fourth step it is necessary to determine the groups of network users that will be used to recover Ergon Energy's ARR for Standard Control Services.

To provide the appropriate economic and cost of supply signals, four key groups of customers have been established (with multiple tariff classes within these groups). These groups are:

- ICCs;
- CACs;
- SACs; and
- EGs.

The purpose of the above four groups is to enable network tariffs to be developed that provide individual or direct cost of supply signals to those network users where possible, while recognising that it is not possible to price every network user individually. There is a trade-off at the distribution level between the complexity of individual price calculation and the inefficiencies created through price averaging. A practical limit also arises in the number of site specific network tariffs that can feasibly be determined and administered.

The four network user groups are discussed in Section 3.3.1 of this Pricing Proposal. The basis of their network tariffs are described below.

Individually Calculated Customers

ICC network tariffs are based on:

- The actual dedicated connection assets utilised by the customer;
- The customer's specifically identified portion of any shared distribution network utilised for the electricity supply;
- Whether the customer is subject to the pre or post 30 June 2010 arrangements for Large Customer Connections; and
- Whether the customer is located in the East, West or Mount Isa Zone of Ergon Energy's network.

Connection Asset Customers

CAC network tariffs are based on:

- The actual dedicated connection assets utilised by the customer;
- Average charges for use of the shared network;
- Whether the customer is subject to the pre or post 30 June 2010 arrangements for Large Customer Connections; and
- Whether the customer is located in the East, West or Mount Isa Zone of Ergon Energy's network.

Standard Asset Customers

SAC network tariffs are based on:

- Average charges for dedicated connection assets;
- Average charges for use of the shared network; and

- Whether the customer is located in the East, West or Mount Isa Zone of Ergon Energy's network.

The network tariffs applying to the SAC group are as follows:

- Demand High Voltage;
- Demand Large;
- Demand Medium;
- Demand Small;
- Volume Large;
- Volume Small;
- Volume Controlled;
- Volume Night Controlled; and
- Volume Unmetered.

Embedded Generators

EGs are separated into two categories:

- EGs that are connected to the distribution system and only generate into the distribution system. These network tariffs are based on identifying the share of the dedicated connection assets utilised by the generator; or
- EGs that are connected to the distribution system, generate and take load from the system:
 - o The generator side of the EG's network tariffs are based on identifying the share of the dedicated connection assets utilised by the generator; and
 - o The load side of the EG's network tariffs are based on identifying the share of dedicated and shared network assets utilised by the load, depending on the network user group allocated (i.e. ICC, CAC or SAC).

All EG network tariffs are also based on:

- Whether the customer is subject to the pre or post 30 June 2010 arrangements for Large Customer Connections; and
- Whether the customer is located in the East, West or Mount Isa Zone of Ergon Energy's network.

Step 5: Allocation of the Costs within the Zones to the Network User Groups

The fifth step of the overall network tariff development process is to allocate or assign the costs to the network user groups in the most efficient and cost reflective way.

Allocation of Costs to ICCs

For each ICC:

- Network Operation Asset costs (i.e. ROA, depreciation and opex) are allocated on the basis of each ICC's energy consumption;
- Network Distribution Asset costs (i.e. ROA, depreciation and opex) for both dedicated connection assets and shared assets are allocated as follows:
 - o The costs are broken down by voltage level asset category and allocated to each ICC separately based on the proportion of the ICC's replacement cost for



- o that asset category to the whole-of-network replacement cost for that asset category; and
 - o The costs allocated to each ICC by voltage level asset category are summed to give the total cost for each ICC; and
- Other Assets costs (i.e. ROA, depreciation and opex) are fixed for each ICC and are calculated based on the equal sharing of the total other asset costs to be allocated to all ICCs, which is in turn based on the proportion of ICC customer numbers to total customer numbers and the proportion of ICC energy consumption to the total energy consumption of all customers.

Allocation of Costs to CACs

For each CAC:

- Network Operation Asset costs (i.e. the ROA, depreciation and opex) are allocated on the basis of each CAC's energy consumption;
- Network Distribution Asset costs (i.e. ROA, depreciation and opex) for both dedicated connection assets and shared assets are allocated as follows:
 - o For dedicated assets, costs are broken down by voltage level asset category and allocated to each CAC separately based on the proportion of the CAC's replacement cost for that asset category to the whole-of-network replacement cost for that asset category;
 - o For shared assets, costs are broken down by voltage level asset category and allocated to each CAC separately based on the proportion of each CAC's kW demand to the kW demand for that asset category; and
 - o The costs allocated to each CAC by voltage level asset category are summed to give the total cost for each CAC; and
- Other Assets costs have both a fixed and variable component with each component allocated 50 per cent of each CAC's total other asset costs. The variable component is allocated to each CAC on the basis of each CAC's energy consumption.

Allocation of Costs to SACs

Unlike ICCs, CACs and EGs, costs are not allocated directly to individual SACs. Rather, they are allocated to SAC network tariff categories according to the following process:

- The connection asset costs for each SAC network tariff category are calculated for each asset category utilised by the SAC network tariff category based on the replacement cost of those assets;
- The shared network costs for each SAC network tariff category are allocated based on the ATMD of that SAC network tariff category;
- Network Operation Asset costs are allocated to each SAC network tariff category on the basis of energy consumption; and
- Other Assets costs are allocated to each SAC network tariff category on the basis of both customer numbers and energy consumption.

Allocation of Costs to Embedded Generators

Costs are allocated to each EG in the same manner as for CACs. However, no Network Operation Asset costs are allocated to EGs.



Cost Allocation for Post 30 June 2010 Tariffs

There will be no allocation of ROA and depreciation associated with dedicated connection assets for those ICCs, CACs and EGs connected under the Large Customer Connection arrangements that apply post 30 June 2010. These customers are only able to access the new post 30 June 2010 network tariffs. The cost of new or augmented dedicated connection assets will be recovered from customers as an upfront payment or alternatively assets will be gifted to Ergon Energy following construction by customers.

Step 6: Conversion of the Allocated Costs into Distribution System Tariffs

The sixth step in the development of network tariffs is the conversion of the allocated costs for network users to network tariffs.

The network tariffs comprise a number of charging parameters, each selected and structured to provide signals to network users about the efficient use of the network and the impact of their usage on future network capacity and costs.

In developing network tariffs, Ergon Energy has sought to have the charging parameters signal the impact that the network users will have on the network, while:

- Managing the demand and volume variance risk;
- Minimising zonal boundary issues between and within network user groups; and
- Avoiding any signals that may result in perverse outcomes.

There are three types of charging parameters – fixed charges, capacity and actual demand charges, and volume charges. These are discussed in Section 6.3 of this Pricing Proposal.

Step 7: Allocation of Designated Pricing Proposal Charges Incurred for the TUOS Services to Customers

The allocation of TUOS charges to customers in the formation of tariffs is the seventh step in the pricing process. This is undertaken on the basis shown in Section 6.13 of this Pricing Proposal.

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